



Regulation of Cosmetics

Australia • Brazil • Canada • China • European Union
France • Germany • Israel • Japan • Sweden
Turkey • United Kingdom

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Comparative Summary

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I. Introduction

This report by the foreign law research staff of the Law Library of Congress's Global Legal Research Directorate surveys the regulation of cosmetics in eleven countries and in the European Union (EU). While there is not a binding international agreement or organization regulating the registration, safety standards, adverse event reporting, labeling, or manufacturing practices of cosmetics, several jurisdictions follow internationally recognized standards and guidelines, and participate in international cooperation arrangements in the area of cosmetics regulation.

A. Regulation of Cosmetics through Sector-Specific Legislation and Regulations

Brazil, Canada, and Israel regulate the registration of cosmetics facilities, cosmetic safety review, cosmetic substantiation standards, adverse event reporting, cosmetics labeling, and good manufacturing practices through specific domestic legislation pertaining to cosmetics. These three jurisdictions also adhere to the International Standard Organization (ISO) 22716:2007 standard, discussed below.

B. Non-Sector-Specific Approaches to the Regulation of Cosmetics

Two jurisdictions surveyed regulate cosmetics under broad regulatory statutes not solely targeting cosmetics. **Japan** regulates "cosmetic products" under its Pharmaceutical and Medical Devices Act; cosmetic products include cosmetics (beauty products) and quasi-pharmaceutical products (medicated beauty products that have mild effects on the body). The Ministry of Health, Labour and Welfare oversees issues regarding licensing, good manufacturing practices, marketing approvals, safety and quality standards, supervision, adverse event reporting, and labeling. **Australia** primarily regulates cosmetics through its system for regulating the importation and manufacture of chemicals, as well as through domestic consumer protection and competition laws.

C. EU Cosmetics Regulation

In the **European Union**, and among the current and former EU jurisdictions surveyed (**France, Germany, Sweden** and the **United Kingdom** [UK]), cosmetics are either directly or principally regulated by the EU Cosmetics Regulation, which sets forth detailed requirements concerning safety, labeling, manufacturing procedures, and adverse event reporting. Issues regarding cosmetics that fall outside of the scope of the EU Cosmetics Regulation are regulated at the national level.¹ The legal framework regulating cosmetics in **Turkey** is also largely harmonized with the EU Cosmetics Regulation.

¹ For further information on the regulation of cosmetics in the UK post-Brexit, see the United Kingdom survey in this report.

D. New and Pending Legislation and Regulations

New and pending legislation and regulations regarding cosmetics have recently been introduced in **China** and **Australia**. With its new legislation coming into effect later this year, Australia will continue its non-sector-specific approach to the regulation of cosmetics through the scheme established by the Industrial Chemicals Act, as well as other areas of applicable domestic law. In China, the new regulations will establish a “responsible person” who will be responsible for the quality, safety, and efficacy of cosmetic products.

In addition, four of the jurisdictions surveyed have recently introduced new regulations to progressively reduce or prohibit the use of microbeads or microplastics in cosmetics in an effort to protect the environment.²

II. International Standards

Several nonbinding international cooperation agreements and standards also apply to the regulation of cosmetics across the jurisdictions surveyed.

A. International Standards Organization

The ISO is a nongovernmental organization with a membership of 164 national standards bodies.³ The ISO has 30 published, voluntary international standards to regulate cosmetic products, including standards on testing, manufacturing, packaging, and labeling, as well as a technical committee dedicated to developing standards related to cosmetics.⁴ Among the jurisdictions surveyed, four countries⁵ employ the ISO 22716:2007 standard, “Cosmetics – Good Manufacturing Practices (GMP) – Guidelines on Good Manufacturing Practices,” which gives guidelines for the production, control, storage, and shipment of cosmetic products. ISO 22716:2007 explicitly does not apply to research, development, or distribution of finished cosmetic products.⁶

B. International Nomenclature of Cosmetic Ingredients

The International Nomenclature of Cosmetic Ingredients (INCI) is a list of labeling ingredient names for cosmetic products.⁷ The INCI is used as a benchmark for the labeling of cosmetic products in the United States, the EU, and China. The INCI name does not imply that an

² Canada, France, Sweden, and the UK.

³ *About Us*, ISO, <https://perma.cc/4FTU-2QZQ>.

⁴ *Standards by ISO/TC 217*, ISO, <https://perma.cc/E5YX-KJ4K>.

⁵ Australia, Canada, Israel, and Japan.

⁶ ISO 22716:2007(updated 2017), <https://perma.cc/V33H-ENY3>.

⁷ *International Nomenclature of Cosmetic Ingredients (INCI)*, Chemical Inspection and Regulation Service, <https://perma.cc/9VXY-7XA8>.

ingredient is safe or that it has been approved for use—it solely serves as an international identification and standardization tool.⁸

C. International Cooperation on Cosmetics Regulation

Established in 2007, the International Cooperation on Cosmetics Regulation (ICCR) is a voluntary, international group of cosmetics regulatory authorities that discusses issues and produces reports regarding cosmetics safety and regulation.⁹ The current membership of the ICCR is Brazil, Canada, the European Commission, Japan, and the United States.¹⁰

⁸ Personal Care Products Council, *INCI FAQs* (Jan. 8, 2019), <https://perma.cc/76XH-4BFV>.

⁹ *About Us*, ICCR, <https://perma.cc/B8GH-LVZR>.

¹⁰ *Composition*, ICCR, <https://perma.cc/D2JC-CCB7>.

Australia

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SUMMARY New legislation regulating the importation and manufacture of chemicals for industrial use, including ingredients in cosmetics, will come into force in Australia in July 2020. Under the law, businesses that introduce such chemicals will be required to register with the relevant federal agency, apply for assessments of the chemicals (if needed), submit a declaration or report (if needed), keep certain records, and provide certain information on request.

In addition to the rules related to industrial chemicals, cosmetic manufacturers must comply with workplace safety laws and consumer protection legislation. There is no compulsory code of good manufacturing practice applicable to cosmetics in Australia.

Australia's consumer protection legislation and related regulations cover cosmetic labeling requirements and mandatory reporting of adverse events associated with consumer products.

A separate regulatory system applies to products that make a therapeutic claim.

I. Introduction

In Australia, the current system for regulating the importation and manufacture of chemicals for “industrial” use, including ingredients used in cosmetics and soaps (even those described as “natural”),¹ is the National Industrial Chemicals Notification and Assessment Scheme (NICNAS).² This system will be replaced on July 1, 2020, by the Australian Industrial Chemicals Introduction Scheme (AICIS), which was established by the Industrial Chemicals Act 2019 (Cth) (ICA).³ The new legislation also introduced a “ban on the use of new animal test data for ingredients used solely in cosmetics,” which will also commence on July 1, 2020.⁴

Where a therapeutic claim is made with respect to a cosmetic product, that product is regulated under the Therapeutic Goods Act 1989 (Cth). This includes where a product is claimed to prevent, diagnose, cure, or alleviate a disease, ailment, defect, or injury in a person, or to influence, inhibit, or modify a physiological process.⁵ The Therapeutic Goods Administration (TGA) explains that

¹ *Cosmetics and Therapeutic Goods*, National Industrial Chemicals Notification and Assessment Scheme (NICNAS), <https://perma.cc/B6Q3-XPBQ>.

² *What We Do*, NICNAS, <https://perma.cc/AVX7-QEGG>.

³ Industrial Chemicals Act 2019 (Cth), <https://perma.cc/77ZQ-9LWB>.

⁴ *New Scheme (1 July 2020)*, NICNAS, <https://perma.cc/NU7G-CLXS>. See also Industrial Chemicals Act 2019 (Cth) s 103.

⁵ Therapeutic Goods Act 1989 (Cth) s 3 (definition of “therapeutic use”), <https://perma.cc/4F2S-5X6J>.

[o]ne of the main factors in determining whether a product is a cosmetic or a medicine (or a medical device) [i.e., a therapeutic good] is the claims made about the product. For example, moisturisers that contain a sunscreensing agent as a secondary component and have a stated therapeutic purpose (e.g. 'helps protect skin from the damaging effects of UV radiation') are medicines.

Even if a product is intended for marketing as a cosmetic, it may be classified as a medicine. This depends on:

- its ingredients
- the route of administration
- if therapeutic claims are made on its label, or in advertising.⁶

The Therapeutic Goods (Excluded Goods) Determination 2018 (Cth)⁷ sets out the cosmetic products that are excluded from the operation of the Therapeutic Goods Act, provided those goods are exported, imported, or supplied in a manner consistent with their terms of exclusion.⁸ This includes, for example, anti-acne skincare products, antibacterial skincare products, and moisturizing skincare products that contain sunscreen where the products do not contain substances listed in particular schedules of the Poisons Standard⁹ and are marketed or presented in ways set out in the Determination.¹⁰

The TGA states that “[e]nquiries about the regulation of cosmetic products should be directed to NICNAS in the first instance.”¹¹

In addition to these two regulatory systems, the manufacture and supply of cosmetic products may be subject to legislation related to consumer protection, labeling, and workplace safety, among others.¹² This includes the Australian Consumer Law (ACL), which is set out in schedule 2 of the Competition and Consumer Act 2010 (Cth);¹³ the Trade Practices (Consumer Product Information Standards) (Cosmetics) Regulations 1991 (Cth);¹⁴ and state and territory workplace

⁶ *What Are ‘Therapeutic Goods’?*, Therapeutic Goods Administration (TGA), <https://perma.cc/34SZ-USPP>.

⁷ Therapeutic Goods (Excluded Goods) Determination 2018 (Cth), <https://perma.cc/AUU7-D6EP>.

⁸ *The Cosmetics Standard 2007 “Sunsetted” on 1 October 2018*, NICNAS, <https://perma.cc/K3PN-5F4B>.

⁹ The Poisons Standard “consists of decisions regarding the classification of medicines and poisons into Schedules for inclusion in the relevant legislation of the States and Territories. The Poisons Standard also includes model provisions about containers and labels, a list of products recommended to be exempt from these provisions, and recommendations about other controls on drugs and poisons.” *The Poisons Standard (The SUSMP)*, TGA, <https://perma.cc/FR3D-UD7X>.

¹⁰ Therapeutic Goods (Excluded Goods) Determination 2018 (Cth) sch 2.

¹¹ *Cosmetics*, TGA, <https://perma.cc/E7VY-ECAH>.

¹² See *Understanding Cosmetics Regulation in Australia*, Formula Botanica, <https://perma.cc/3GQN-SCTG>.

¹³ Competition and Consumer Act 2010 (Cth) (Vol 3) sch 2 (ACL), <https://perma.cc/F5EP-7THK>.

¹⁴ Trade Practices (Consumer Product Information Standards) (Cosmetics) 1991 (Cth), <https://perma.cc/LQ5M-LLZC>.

safety laws, many of which implement model work health and safety laws developed at the national level.¹⁵

This report focuses on the regulation of cosmetics about which no therapeutic claims are made, and which are therefore not subject to the Therapeutic Goods Act. Information is provided about the new AICIS, rather than the existing system. Information is also provided about consumer protection and workplace safety rules relevant to the manufacture and supply of cosmetics.

II. Approval and Safety Review of Ingredients in Cosmetics

The basic obligations under the AICIS for businesses that introduce (i.e., import or manufacture in Australia) industrial chemicals involve

- registration (under part 2 of the ICA),
- knowing details about their chemical introductions,
- understanding the category of the introductions,
- applying to the regulatory body to assess the introductions (if needed),
- submitting a declaration or report (if needed, under part 6 of the ICA),
- keeping records of the introductions, and
- providing information to the regulatory body on request.¹⁶

Part 3 of the ICA relates to the categorization and assessment of industrial chemicals, with each introduction of a chemical needing to comply with the category of introduction. The categories are “based on the level of risk to human health and the environment from the introduction.”¹⁷ The simplified outline of the ICA explains that

[l]ower risk introductions (exempted and reported introductions) can be made without being assessed by the Executive Director [of AICIS]. However, record keeping and reporting obligations apply.

Medium-to-high risk introductions require an assessment certificate issued by the Executive Director and must comply with the terms of the certificate. A person can also apply for commercial evaluation authorisations and the Minister can issue exceptional circumstances authorisations.

Industrial chemicals covered by an assessment certificate are listed on the Australian Inventory of Industrial Chemicals after 5 years. However, applications can be made for early listing and industrial chemicals can be listed in certain other circumstances. Any registered person can introduce an industrial chemical that is listed on the Inventory but

¹⁵ See *Law and Regulation*, Safe Work Australia, <https://perma.cc/UK6J-5S39>.

¹⁶ *Your Obligations under AICIS* [chart], NICNAS, <https://perma.cc/56RE-MH9G>.

¹⁷ Industrial Chemicals Act 2019 (Cth) s 8.

must comply with the terms of the Inventory listing and record keeping and reporting requirements.

The Executive Director may initiate evaluations of industrial chemicals, or matters relating to industrial chemicals. Evaluations may result in changes to assessment certificates or Inventory listings or recommendations being made about the introduction and use of industrial chemicals.

The Executive Director is required to publish assessment statements, evaluation statements and other information under this Act. Applications can be made by any person for confidential business information not to be published.¹⁸

Part 7 of the ICA relates to enforcement, with inspectors having monitoring, inspection, and enforcement powers under the Regulatory Powers (Standard Provisions) Act 2014 (Cth)¹⁹ to ensure compliance with the legislation.²⁰

The ICA is accompanied by certain rules and guidance, including the Industrial Chemical (General) Rules 2019 (Cth)²¹ and categorization guidelines.²²

III. Manufacturing of Cosmetics

Apart from the regulatory system for industrial chemicals, there is no additional registration or licensing process for companies or facilities that manufacture cosmetics in Australia. However, various laws and regulations apply to the manufacturing process, along with voluntary standards and certifications.

A. Model Laws

Work health and safety (WHS) legislation and enforcement come within the responsibilities of Australia's states and territories. However, six of the eight jurisdictions, as well as the Commonwealth, have implemented model laws developed at the national level.²³ The model WHS laws include the model WHS Act and model WHS Regulations. Model Codes of Practice have also been developed "as practical guides to achieving the standards of health and safety required under the model WHS Act and Regulations."²⁴ These instruments are supported by the National Compliance and Enforcement Policy.

¹⁸ Id.

¹⁹ Regulatory Powers (Standard Provisions) Act 2014 (Cth), <https://perma.cc/S3BH-ZGLH>.

²⁰ See Industrial Chemicals Act 2019 (Cth) s 127.

²¹ Industrial Chemical (General) Rules 2019 (Cth), <https://perma.cc/F5SB-LG46>.

²² See *Key Information about the New Scheme*, NICNAS, <https://perma.cc/JZ87-399Y>.

²³ *Model WHS Laws*, Safe Work Australia, <https://perma.cc/8NKR-HK79>.

²⁴ Id.

The model WHS Regulations contain detailed obligations applicable to manufacturers, including with respect to the packing, labeling, and storage, and handling of hazardous chemicals.²⁵

B. Good Manufacturing Practice

While different codes of Good Manufacturing Practice (GMP) apply to therapeutic goods manufactured in Australia, with compliance required in order to hold a license to manufacture such goods,²⁶ there is no compulsory GMP code with respect to the manufacturing of cosmetics not considered therapeutic goods. Voluntary training, compliance, and certification for ISO 22716 (GMP for Cosmetics), and other standards applied in different overseas jurisdictions, appear to be available through private industry mechanisms.²⁷

C. Consumer Protection Legislation

Various consumer guarantees apply to manufacturers under the ACL,²⁸ including a guarantee as to the acceptable quality of goods, which includes that they are safe and fit for purpose,²⁹ and a guarantee that the goods have been accurately described.³⁰ If a product fails to meet one or more of the guarantees, a consumer who purchased that product is entitled to a remedy—“either a repair, replacement or refund and compensation for any consequential loss—depending on the circumstances.”³¹ Consumers may approach manufacturers directly for a remedy, and may take action against manufacturers to recover costs.³² Businesses are “legally obliged to provide the appropriate remedy under the consumer guarantees provisions of the ACL.”³³ Where a business

²⁵ Model Work Health and Safety Regulations (as of Jan. 15, 2019) ch 7, <https://perma.cc/M3YG-HN3T>.

²⁶ *Good Manufacturing Practice – An Overview*, TGA (Sept. 29, 2017), <https://perma.cc/47VN-UTYV>.

²⁷ See e.g., *Cosmetics GMP Audits*, SGS, <https://perma.cc/5FNY-H25W>; *Cosmetics*, ISO Professionals, <https://perma.cc/S7F9-GPZH>.

²⁸ “Manufacturer” is defined in section 7 of the ACL, which provides that a manufacturer includes the following:

- (a) a person who grows, extracts, produces, processes or assembles goods;
- (b) a person who holds himself or herself out to the public as the manufacturer of goods;
- (c) a person who causes or permits the name of the person, a name by which the person carries on
- (d) a person (the first person) who causes or permits another person, in connection with:
 - (i) the supply or possible supply of goods by that other person; or
 - (ii) the promotion by that other person by any means of the supply or use of goods; to hold out the first person to the public as the manufacturer of the goods;
- (e) a person who imports goods into Australia if:
 - (i) the person is not the manufacturer of the goods; and
 - (ii) at the time of the importation, the manufacturer of the goods does not have a place of business in Australia.

²⁹ ACL s 54.

³⁰ *Consumers’ Rights & Obligations*, Australian Competition and Consumer Commission (ACCC), <https://perma.cc/C9JQ-T8PC>.

³¹ *Id.*

³² *Id.*

³³ *Id.*

fails to do so, the consumer may report the problem to a state or territory consumer protection agency or the Australian Competition and Consumer Commission (ACCC), which shares responsibility for product safety regulation with states and territories,³⁴ or have the matter heard in a local small claims tribunal or magistrates court.³⁵

The ACCC undertakes various compliance activities with respect to cosmetics, including regulatory audits of cosmetic-related injury reports and cosmetic product surveys that examine chemical exposure risks.³⁶

Australia's consumer protection legislation also covers labeling requirements and adverse event reporting, as outlined below.

IV. Labeling Requirements

The requirements for ingredients labeling on cosmetics are prescribed in the Trade Practices (Consumer Product Information Standards) (Cosmetics) Regulation 1991 (Cth). This instrument constitutes a mandatory information standard under part 3-4 of the ACL. The ACCC explains that, under the mandatory standard,

cosmetic products are substances or preparations intended for placement in contact with any external part of the body, including the mouth and teeth, for the purpose of

- altering the odours of the body
- changing the appearance of the body
- cleansing the body
- maintaining the body in good condition
- perfuming the body
- protecting the body.³⁷

Certain goods are exempt from the mandatory information standard, including therapeutic goods, cosmetics manufactured in Australia for export, free samples of cosmetic products, and testers of a cosmetic product.³⁸ The ACCC lists the following as the key features of the labeling requirements for cosmetics under the mandatory standard:

³⁴ *ACCC Role*, ACCC, Product Safety Australia, <https://perma.cc/5KXT-4BCU>.

³⁵ *Consumers' Rights & Obligations*, supra note 30. See also *Legislation*, Australian Consumer Law, <https://perma.cc/CPL2-UEMB>.

³⁶ See Delia Rickard (Deputy Chair of ACCC), *Cosmetic Compliance and Safety and the Australian Consumer Law*, Speech to Accord Cosmetic and Personal Care Conference, Sydney (Oct. 22, 2014), <https://perma.cc/2S8Q-SZT4>.

³⁷ *Cosmetic Ingredients Labelling*, ACCC, Product Safety Australia, <https://perma.cc/W3KY-LAGV>.

³⁸ *Id.*

- Product ingredient information should be available to consumers at the point of sale.
- The listing of product ingredients is required on the container or on the product itself, if not packed in a container.
- Where the container or the product is of a size, shape or nature that prevents ingredient labelling by any of the above methods, the mandatory information standard requires the display of information to allow consumers to be informed.
- The labelling of ingredients on cosmetics such as make-up, deodorant or moisturiser usually appears on the packaging or outer casing of the product for consumer knowledge.
- When listing ingredients, the ingredients need to appear in descending order calculated by either mass or volume.
- Alternatively, the mandatory standard allows for the listing of ingredients in the following way:
 - ingredients (except colour additives) in concentrations of 1 per cent or more in descending order by volume or mass
 - followed by ingredients (except for colour additives) in concentrations of less than 1 per cent in any order
 - followed by colour additives in any order.
- The mandatory information standard does not require the listing of the quantity or percentage of each ingredient.³⁹

The requirements for ingredients labeling on cosmetics are explained in more detail in a December 2018 ACCC guidance document, which provides guidance to both suppliers and retailers with respect to their responsibilities under the mandatory standard and the ACL.⁴⁰

The ACCC states that it is currently reviewing the information standard for cosmetics ingredient labeling, with a public consultation period on a consultation paper having run from November 14, 2019, to December 13, 2019.⁴¹

V. Adverse Event Reporting

The ACL requires suppliers to “report any product-related death, serious injury or serious illness associated with a consumer product.”⁴² Mandatory reports must be made to the ACCC within two days of the supplier becoming aware of a reportable incident. The reporting requirement applies to all participants in the supply chain, including importers, manufacturers, distributors, and retailers. Serious illness or injury “refers to an acute physical injury or illness requiring medical or surgical treatment by, or under the supervision of, a qualified doctor or nurse.”⁴³ The

³⁹ Id.

⁴⁰ ACCC, *Product Safety: Ingredients Labelling on Cosmetics* (Dec. 2018), <https://perma.cc/6AGH-D6MP>.

⁴¹ *Cosmetic Ingredients Labelling*, *supra* note 37.

⁴² *Mandatory Reporting*, ACCC, Product Safety Australia, <https://perma.cc/JP42-5LJS>.

⁴³ Id.

law applies whether or not the consumer product was being “used or misused before or at” the time of the incident.⁴⁴

Rules apply with respect to the government’s disclosure of the information in an incident report provided by a supplier. In particular, disclosure is allowed if disclosure is in the public interest, required or authorized by or under law, or “reasonably necessary for the enforcement of the criminal law or of a law imposing a pecuniary penalty.”⁴⁵

Adverse events caused by therapeutic goods are reported to the TGA and are therefore exempt from the mandatory reporting obligations to the ACCC.⁴⁶ Exemptions also apply where other existing reporting systems apply under different federal, state, or territory legislation.⁴⁷

Criminal offense provisions apply in situations where a supplier fails to notify the government of an incident as required by the ACL.⁴⁸

⁴⁴ ACCC, *A Guide to the Mandatory Reporting Law in Relation to Consumer Goods 2* (Feb. 2016), <https://perma.cc/NCS8-RPJ8>.

⁴⁵ Id.

⁴⁶ Id. at 9.

⁴⁷ Id. at 13.

⁴⁸ Id. at 12.

Brazil

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SUMMARY Cosmetics and several other products are subject to sanitary surveillance rules established by federal law. A federal agency regulates the cosmetic industry in Brazil. Cosmetic facilities must obtain authorization from the Ministry of Health and the local health agency where they are located to operate. No product that causes irritation to the skin or damage to health may be registered as a cosmetic. Evidence that a product is harmful to health triggers its immediate withdrawal from trade. Labeling of cosmetics is defined by a law issued by the federal agency responsible for executing sanitary control of the production, marketing, and use of products and services subject to health regulation. The agency also issued a law authorizing the technical regulation of good manufacturing practices for cosmetics.

I. Legal Framework

According to article 1 of Law No. 6,360 of September 23, 1976, medicines, drugs, pharmaceutical elements, and related items (*insumos farmacêuticos e correlatos*), as defined in Law No. 5,991, of December 17, 1973, as well as hygiene products, cosmetics, perfumes, household sanitizers, aesthetic correction products, and other products are subject to the sanitary surveillance rules established by Law No. 6,360.¹

The cosmetic industry is regulated by the Brazilian Health Regulatory Agency (*Agência Nacional de Vigilância Sanitária, ANVISA*), which is a federal agency (*autarquia*) linked to the Ministry of Health. ANVISA's role is to promote the protection of the population's health by executing sanitary control of the production, marketing, and use of products and services subject to health regulation, including related environments, processes, ingredients, and technologies, as well as compliance in ports and airports and at borders.²

II. Registration of Cosmetic Facilities

Law No. 6,360 determines that companies may only extract, produce, manufacture, transform, synthesize, purify, fractionate, pack, repack, import, export, store or ship the products referred to in article 1 when they are authorized for this purpose by the Ministry of Health and whose

¹ Lei No. 6.360, de 23 de Setembro de 1976, art. 1, <https://perma.cc/5T3S-V3Q9>. Law No. 5,991, of December 17, 1973 provides for the sanitary control of trade in drugs, medicines, pharmaceuticals, and related products. Article 4 defines related items (*correlatos*) as the substance, product, device or accessory not covered by the previous concepts listed in article 4 of Law No. 5,991, whose use or application is linked to the defense and protection of individual or collective health, personal or environmental hygiene, or for diagnostic and analytical purposes, cosmetics and perfumes, as well as dietetic, optical, medical acoustic, dental and veterinary products, <https://perma.cc/7RLP-G2Y4>.

² ANVISA, <https://perma.cc/Y3KA-FJHU>.

establishments have been licensed by the health agency of the federative unit in which they are located.³

Article 3(V) of Law No. 6,360 defines cosmetics as products for external use, intended to protect or beautify different parts of the body, and lists several different types of products.⁴

Without prior and express consent from the Ministry of Health, the importation for industrial and commercial purposes of medicines, drugs, pharmaceutical supplies, and other products referred to in Law No. 6.360 is forbidden.⁵

None of the products listed in Law No. 6,360, including imported ones, may be manufactured, offered for sale, or delivered for consumption before being registered with the Ministry of Health.⁶

Decree No. 8,077 of August 14, 2013, which regulates the conditions for the operation of companies subject to sanitary licensing, and the registration, control, and monitoring, within the scope of sanitary surveillance, of the products listed in Law No. 6,360, further determines that the exercise of activities related to the products referred to in article 1 of the Law will depend on the authorization of the ANVISA and the licensing of the establishments by the competent health agency of the states, Federal District, or municipalities, observing the technical requirements defined in the regulation of these bodies.⁷

III. Cosmetic Safety Review and Substantiation Standards

Under article 16 of Law No. 6,360, the registration of drugs, pharmaceutical elements, and related items, given their sanitary, medicinal or prophylactic, curative, or palliative characteristics, or even for diagnostic purposes, is subject, in addition to meeting their own requirements, to the following specific requirements:

I - the product complies with the provisions of article 5 of Law No. 6,360 and its paragraphs.

II - that the product, through scientific proof and analysis, is recognized as safe and effective for its intended use, and has the necessary identity, activity, quality, purity and safety;

III - in the case of a new product, ample information on its composition and use is offered to assess its nature and to determine the degree of safety and efficacy required;

IV - presentation, when requested, of a sample for analyses and tests that are deemed necessary by the competent bodies of the Ministry of Health;

V - when there is a new substance in the composition of the drug, the delivery of a sample accompanied by the chemical and physicochemical data that identify it;

³ Lei No. 6.360, art. 2.

⁴ Id. art. 3(V).

⁵ Id. art. 10.

⁶ Id. art. 12.

⁷ Decreto No. 8.077, de 14 de Agosto de 2013, art. 2, <https://perma.cc/V489-8LPV>.

VI - in the case of a drug or medicine whose preparation requires technical and specific equipment, proof that the establishment is properly equipped and keeps qualified personnel to handle or contract with third parties for this purpose.⁸

Only products for personal hygiene, perfumes and others of similar nature and purpose that are intended for external use or in the environment, depending on their aesthetic, protective, hygienic or aromatic purpose, that do not cause irritation to the skin or damage to health, will be registered as cosmetics.⁹

In addition to being subject to their own specific regulatory requirements, the registration of cosmetics, personal care products, perfumes and products of that kind, of similar purpose, will depend on the satisfaction of the following requirements:

I - fit the list of substances declared harmless, prepared by the competent organ of the Ministry of Health and published in the Official Gazette of the Union, which will contain the specifications relevant to each category as well as drugs, elements (insumos), raw materials, dyes, solvents and others permitted in their manufacture;

II - not fitting in the list above, the harmlessness of the respective formulas has been recognized in conclusive opinions issued by the competent analytical and technical bodies of the Ministry of Health.¹⁰

The list of substances referred to in item I above may be changed to exclude substances that may be considered harmful to health, or to include others that may be approved.¹¹

The registration of cosmetics, products intended for personal hygiene, and others of the same purpose, which contain medicinal substances, although in a non-therapeutic dose, must obey the norms contained in articles 16 through 21 of Law No. 6,360 and the Decree No. 8.077, of August 14, 2013.¹²

IV. Adverse Event Reporting

The proof that a product previously considered useful is harmful to health or does not fulfill the requirements established by law calls for its immediate withdrawal from trade and the modification of the formula's composition and the product's labels, leaflets and packaging, under penalty of cancellation of registration and seizure of the product, throughout the national territory.¹³ It is the exclusive responsibility of the Ministry of Health to register and permit the use of medicines, as well as the approval or requirement of modification of their components.¹⁴

⁸ Lei No. 6.360, art. 16. Article 5 discusses names, designations, labels, and containers.

⁹ Id. art. 26.

¹⁰ Id. art. 27.

¹¹ Id. art. 27 (sole para.).

¹² Id. art. 28.

¹³ Id. art. 6.

¹⁴ Id. art. 6 (sole para.).

As a health and safety measure, and in view of the considered arguments of the competent body, the Ministry of Health may, at any time, suspend the manufacture and sale of any of the products listed in Law No. 6,360, which, although registered, become suspected of having harmful effects on human health.¹⁵

V. Cosmetics Labeling

Law No. 6,360 defines label as a printed or lithographed identification, as well as the words painted or engraved by fire, pressure or decal, applied directly on canisters, containers, wrappers, cartridges or any other packaging protector.¹⁶ The products listed in Law No. 6,360 may not have names, designations, labels or packages that induce error.¹⁷

Drugs, medicines, and any pharmaceutical elements and related items, hygiene products, cosmetics and household sanitizers, imported or not, can only be delivered for consumption in the original packaging or in others previously authorized by the Ministry of Health.¹⁸ Imported products, whose commercialization in the domestic market does not require medical prescription, must have clarifying statements in Portuguese about their composition, medical indications, and use added to their labeling.¹⁹

The executive branch must provide, by regulation, for the labeling, package leaflets, printed materials, labels and prospectuses referring to the products dealt with in Law No. 6,360.²⁰ For this purpose, on February 10, 2015, ANVISA enacted Resolution RDC No. 7, which approved the technical regulation establishing the definition, classification, technical requirements, labeling, and electronic procedure for regularization of toiletries, cosmetics, and perfumes.²¹

VI. Good Manufacturing Practices

On October 25, 2013, ANVISA enacted Resolution RDC No. 48, which approved the technical regulation of good manufacturing practice for toiletries, cosmetics, and perfumes, determining, among other things, that these products must be safe under normal or foreseeable conditions of use and that good manufacturing practices should reflect the minimum requirements required by the industries in the manufacture, packaging and storage, and quality control of such products.²²

¹⁵ Id. art. 7.

¹⁶ Id. art. 3(VIII).

¹⁷ Id. art. 5.

¹⁸ Id. art. 11.

¹⁹ Id. art. 11, § 2.

²⁰ Id. art. 57.

²¹ Ministério da Saúde, ANVISA, RDC No. 07, de 10 de Fevereiro de 2015, <https://perma.cc/GP7X-STJW>.

²² Ministério da Saúde, ANVISA, RDC No. 48, de 25 de Outubro de 2013, <https://perma.cc/FE9V-9J7N>.

VII. Different Treatments of Cosmetic Firms

No distinction has been identified between small and large cosmetic firms.

VIII. Cosmetics Imports into the US

The Brazilian Embassy in Washington, DC, prepared a report in August 2018 to inform current and future Brazilian exporters about the challenges of the US market but also the opportunities it offers for Brazilian products. The report states that Brazil, the United States, Canada, the European Union, and Japan are members of the International Cooperation on Cosmetics Regulation (ICCR), an organization that seeks to harmonize regulation to maximize consumer protection while minimizing barriers to trade,²³ and that the similarity in cosmetics regulations in these markets facilitates trade and provides a business opportunity.²⁴

²³ *About Us*, ICCR, <https://perma.cc/4SBU-UTTQ>.

²⁴ Embassy of Brazil, *Desafios e Oportunidades à Exportação de Produtos Brasileiros aos Estados Unidos* 25 (Aug. 2018), <https://perma.cc/UQ6K-TZV2>.

Canada

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SUMMARY All cosmetics in Canada must meet the requirements set out in the Food and Drugs Act (FDA) and the Cosmetic Regulations. This legal framework requires that cosmetics sold in Canada be manufactured, prepared, preserved, packed, and stored under sanitary conditions. The manufacturer and importer must provide notice to Health Canada that it is selling the product and information on the manufacturing facilities and a list of ingredients. Cosmetics are subject to certain packaging and labeling requirements under the Consumer Packaging and Labelling Act and its implementing regulations. Lastly, any chemicals used in a cosmetic product may be subject to the Canadian Environmental Protection Act.

Not all products sold by the cosmetics industry fall under the FDA category of a cosmetic, and thus are not governed by the Cosmetic Regulations. Some fall under other categories of natural health products, personal care products, or product at the cosmetic-drug interface.

I. Overview

The Food and Drugs Act (FDA),¹ enacted in 1985, and its implementing regulations, the Cosmetic Regulations,² are the main laws governing cosmetic products. According to Health Canada, the agency that regulates cosmetics, “[a]ll cosmetics sold in Canada must be safe to use and must not pose any health risk” and must meet the requirements of this legal framework.³ Section 2 of the FDA defines “cosmetic” as “including any substance or mixture of substances manufactured, sold or represented for use in cleansing, improving or altering the complexion, skin, hair or teeth, and includes deodorants and perfumes.”⁴ According to Health Canada, this definition includes “cosmetics used by professional esthetic services, bulk institutional products (such as hand soap in school rest rooms), as well as “handmade” cosmetics sold at craft sales or home-based businesses.”⁵

* This report was completed with the assistance of Law Library intern Zeynep Timocin Cantekin.

¹ Food and Drugs Act (FDA), R.S.C., 1985, c. F-27, <https://perma.cc/G6AK-HPRC>.

² Cosmetic Regulations, C.R.C., c. 869, <https://perma.cc/GNP5-RBVH>.

³ *Regulatory Information for Cosmetics*, Health Canada, <https://perma.cc/GV6U-5WY3>.

⁴ FDA § 2.

⁵ *Regulatory Information for Cosmetics*, Health Canada, *supra* note 3.

The legal framework established by the FDA and the Cosmetic Regulations prohibit the sale of cosmetic products that were “manufactured, prepared, preserved, packaged or stored under unsanitary conditions.”⁶ The manufacturer or importer must provide information on the manufacturing facilities and a list of ingredients to Health Canada when a cosmetic product is first put on the market.⁷ The ingredients in any cosmetic product should comply with Health Canada’s Cosmetic Ingredient Hotlist (Hotlist), which details prohibited or restricted ingredients, and if there is a new ingredient that is not included in the agency’s Domestic Substance List, a New Substance Notification form should be submitted to the Minister of Environment. These lists are discussed infra in Part II(B)(2) and (3), respectively.

Cosmetics are subject to certain packaging and labeling requirements under the Consumer Packaging and Labelling Act,⁸ as well as its implementing regulations.⁹ Any chemicals used in a cosmetic product also may be subject to the Canadian Environmental Protection Act.¹⁰

It is important to note that not all products sold by the cosmetics industry fall under the FDA category of a cosmetic, and thus are not governed by the Cosmetic Regulations. Some fall under other categories of a drug, natural health products, or personal care products (PCP), or product at the cosmetic-drug interface (PCDI). When a product is not easily categorized as a cosmetic or a drug, the government calls it a Product at the Cosmetic-Drug Interface (PCDI) and has a special criteria to assess its correct category.¹¹

II. Legal Framework Applicable to Cosmetics

The following regulations are applicable to what is considered a “cosmetic” product under section 2 of the FDA.

A. Registration of Cosmetic Facilities

A manufacturer or importer must submit to Health Canada a Cosmetic Notification Form (CNF) within 10 days after it first begins selling any cosmetic in the market.¹² This is mandatory for every new product on the market. There is no exception for test-marketing.¹³ The CNF must contain

⁶ FDA § 16.

⁷ Cosmetic Regulations § 30.

⁸ Consumer Packaging and Labelling Act, R.S.C., 1985, c. C-38, <https://perma.cc/WAM3-KWVV>.

⁹ Consumer Packaging and Labelling Regulations, C.R.C., c. 417, <https://perma.cc/IE7A-VKNJ>.

¹⁰ Canadian Environmental Protection Act, 1999, S.C. 1999, c. 33, <https://perma.cc/V88Y-2XGN>.

¹¹ *Guidance Document: Classification of Products at the Cosmetic-Drug Interface*, Health Canada, <https://perma.cc/755Y-N6UF>.

¹² Cosmetic Regulations § 30.

¹³ *Notification of Cosmetics*, Health Canada, <https://perma.cc/W6GN-94WB>.

- the name and address of the manufacturer that appears on the label of the cosmetic;
- the name under which the cosmetic is sold;
- the function of the cosmetic;
- a list of the cosmetic's ingredients and, for each ingredient, either its exact concentration or the concentration range that includes the concentration of that ingredient;
- the form of the cosmetic;
- the name and address in Canada of the manufacturer, importer or distributor;
- if the cosmetic was not manufactured or formulated by the person whose name appears on the label, the name and address of the person who manufactured or formulated it; and
- the name and title of the person who signed the notification.¹⁴

Submitting a CNF does not guarantee that the cosmetic is safe, and failure to notify Health Canada may result in the product's removal from sale or denial of entry into Canada (for importers).¹⁵ Under section 31 of the Cosmetic Regulations, a new CNF should be submitted "within 10 days after the document or information becomes inaccurate" for any changes to the previously submitted information, including modification of the cosmetic formula, change of company name, change of address or contact information for the manufacturer, change of product name, or discontinuation of sale.¹⁶

The Cosmetic Notification Form is an online form found on the Health Canada website.¹⁷ There are nine sections to complete, and a government guide on how to complete the form can be found online as well.¹⁸

B. Cosmetic Safety Review and Substantiation Standards

All cosmetics sold in Canada, including those manufactured elsewhere and imported into Canada, have to follow four safety rules under the FDA and the Cosmetic Regulations. According to Health Canada,¹⁹ a cosmetic must: (1) be free of any substance that may cause injury to the health of the user when the cosmetic is used according to the directions on the label;²⁰ (2) be free from any filthy or decomposed substance or of any foreign matter;²¹ (3) be manufactured,

¹⁴ Cosmetic Regulations § 30.

¹⁵ *Notification of Cosmetics*, Health Canada, *supra* note 13.

¹⁶ Cosmetic Regulations § 31.

¹⁷ *Cosmetic Notification Form*, Health Canada, <https://perma.cc/ZVH2-ECRR>.

¹⁸ *How to Complete a Cosmetic Notification Form*, Health Canada, <https://perma.cc/JEN8-P2C4>.

¹⁹ *What Is a Cosmetic?*, Health Canada, <https://perma.cc/XRX9-6ZCS>.

²⁰ FDA § 16(a).

²¹ *Id.* § 16(b).

prepared, preserved, packaged and stored under sanitary conditions;²² and (4) have its composition and ingredients declared to the government by submitting a CNF.²³

The first safety rule can be satisfied by complying with the prohibitions and restrictions regarding certain ingredients found in the Hotlist. Canada encourages manufacturers and importers to follow the Hotlist and apply the Good Manufacturing Practices (GMPs) discussed *infra* Part I(E) to conform to the second safety rule. Following the GMPs will also satisfy safety rule three. Compliance with the fourth rule enables the government to monitor ingredients and check them against the Hotlist, so that if a safety concern arises, the product can be prohibited and removed from the market.

According to section 29 of the Cosmetic Regulations,²⁴ the Minister of Health may request that a manufacturer submit in writing, on or before a specified date, evidence to establish the safety of the cosmetic. If the manufacturer does not submit the evidence, the Minister will bar the sale of the cosmetic until further evidence is submitted and the Minister has issued a notification declaring the evidence for the product's safety is sufficient.

It is important to note that cosmetics are excluded from regulation under the Canada Consumer Product Safety Act (CCPSA),²⁵ as are Natural Health Products (NHPs).²⁶

Canada is a member of the International Cooperation on Cosmetics Regulation (ICCR), a voluntary organization with the goal of maintaining the highest level of global consumer protection while minimizing barriers to international trade. In 2011, the ICCR published a document on basic principles of cosmetic product safety assessment.²⁷ The ICCR is discussed in more detail in Part II.E.1. of this report.

1. What Constitutes "Sufficient Evidence of Safety"?

Although we were unable to locate detailed guidance or a description of what evidence is deemed sufficient, Health Canada determines whether an ingredient is safe by applying evidence-based analysis and the principles of toxicology.²⁸ Health Canada consistently monitors global legal developments in cosmetic regulation in other countries, and the Health Canada scientists keep up with the scientific literature and recent developments on the safety of ingredients.²⁹ They

²² Id. § 16(c).

²³ Cosmetic Regulations § 30.

²⁴ Id. § 29.

²⁵ Canada Consumer Product Safety Act, S.C. 2010, c. 21, § 4, ¶ 1 & sched. 1, ¶ 2, <https://perma.cc/G4DU-YZFJ>.

²⁶ Id. c. 21, § 4, ¶ 3.

²⁷ International Cooperation on Cosmetic Regulation (ICCR), *Principles of Cosmetic Product Safety Assessment* (May 25, 2011), <https://perma.cc/W3HS-62SM>.

²⁸ *Safety of Cosmetic Ingredients*, Health Canada, <https://perma.cc/2XQU-BDGF>.

²⁹ Id.

monitor information from the “Chemicals Management Plan, the European Union and United States Food and Drug Administration (U.S. FDA).”³⁰

2. *Cosmetic Ingredient Hotlist*

The Hotlist currently includes 573 ingredients listed, the use of which are either prohibited or restricted.³¹ Health Canada describes the Hotlist as “an administrative tool that is used to communicate to manufacturers and others that certain substances, when present in a cosmetic, may contravene the general prohibition found in section 16 of the FDA,” which states that “no person shall sell any cosmetic that may cause injury to the health of the user when the cosmetic is used.”³² Additionally, according to Health Canada,³³ the presence of a substance from the Hotlist in a product may cause that product to be excluded from the definition of a cosmetic under the FDA.

The Hotlist is not exhaustive and is continuously being updated. Proposed updates to the Hotlist are put forward as needed, and decisions on the updates depend on the strength of the scientific evidence ranging from recognized scientific journals to expert panel opinions.³⁴ As the Hotlist is continually growing, a manufacturer or importer should not rely entirely on the list, and the sale of a cosmetic should stop as soon as it is known that an ingredient may cause injury. Once a proposal to update the Hotlist is put forward, a Notice to Stakeholders is issued approximately three months before a 60-day consultation period on proposed updates.³⁵ In this amount of time, Health Canada expects manufacturers and importers to determine which of their products might be affected by a possible update. If they have products that might be affected, during this time they can start planning changes to their “product formulations, distribution and sale.”³⁶ After the 60-day consultation period, but before it publishes the final revised version of the Hotlist, Health Canada will evaluate the comments it received and respond to them.³⁷ Health Canada publishes the revised hotlist on the official website. Additionally, Health Canada will send the updated list to subscribers to the Cosmetics Mailing List,³⁸ as well as those who have previously submitted a CNF.³⁹ The last update to the Hotlist was made in December 2019.⁴⁰

³⁰ Id.

³¹ Safia, *Canadian Regulations for Cosmetic Products at a Glance*, Blog Consumer Goods (Mar. 21, 2018), <https://perma.cc/C9BJ-P265>.

³² *Notice to Stakeholders of Proposed Updates to the Cosmetic Ingredient Hotlist*, Health Canada, <https://perma.cc/4TWA-DS5W>.

³³ Id.

³⁴ *Cosmetic Ingredients Hotlist: Prohibited and Restricted Ingredients*, Health Canada, <https://perma.cc/P7R7-5X47>.

³⁵ *Consultation on Proposed Updates to the Cosmetic Ingredients Hotlist: Prohibited and Restricted Ingredients*, Health Canada, <https://perma.cc/QZ3H-JFZ4>.

³⁶ Id.

³⁷ *Cosmetic Ingredient Hotlist*, Health Canada, <https://perma.cc/9DPC-PK7V>.

³⁸ *Subscribe to the Cosmetics Mailing List*, Health Canada, <https://perma.cc/RE85-YU5E>.

³⁹ *Cosmetic Ingredient Hotlist: Prohibited and Restricted Ingredients*, Health Canada, *supra* note 34.

⁴⁰ *Changes to the Cosmetic Ingredient Hotlist*, Health Canada, <https://perma.cc/XQT5-8ANN>.

Although Canada has regulations that ban plastic microbeads in toiletries, there does not appear to be a ban in cosmetics.⁴¹

3. *New Substances Notification*

In 1994, Environment and Climate Change Canada published the Domestic Substances List (DSL).⁴² It is the only database where a manufacturer or importer can determine whether a substance is considered to be “new” in Canada.⁴³ Under the New Substances Notification Regulation,⁴⁴ if the cosmetic has a substance that is not registered under the DSL, it should be reported as a new substance to the Minister of Environment before importation or manufacturing, so the government can assess whether the substance is toxic and whether it poses any safety issues.⁴⁵ These “new” substances might be found in a variety of products, including cosmetics, natural health products, and personal care products.

C. **Adverse Reaction Reporting**

Manufacturers, professionals, and consumers can report adverse reactions to Health Canada and its partners.⁴⁶ In the official Guidance Document for Industry on Reporting Adverse Reactions to Marketed Health Products, a distinction is made between an adverse event (AE) and an adverse reaction (AR).⁴⁷ In its glossary, AE is defined as “any untoward medical occurrence in a patient administered a medicinal product and which does not necessarily have to have a causal relationship with this treatment,” while AR is defined as “a noxious and unintended response to a product” under the Food and Drug Regulations and the NHP Regulation. For cosmetic products, reporting safety-related incidents is categorized as adverse reaction reporting.⁴⁸

Because cosmetics are exempt from the CCPSA, as noted above, the industry is not required to report health- or safety-related incidents.⁴⁹ However, Health Canada encourages the cosmetics industry to report any issues voluntarily to the Consumer Product Safety Program.⁵⁰

⁴¹ *Microbeads*, Health Canada, <https://perma.cc/CX3R-RE79>.

⁴² *Domestic Substances List*, Health Canada, <https://perma.cc/WJ3U-MKKU>.

⁴³ *Substances Search*, Government of Canada, <https://perma.cc/4QNM-58JH>.

⁴⁴ New Substances Notification Regulations (Chemicals and Polymers) (SOR/2005-247), <https://perma.cc/W9XK-N6GP>.

⁴⁵ *Notification of New Substances*, Health Canada, <https://perma.cc/B5BH-5EZZ>.

⁴⁶ *Adverse Reaction Reporting For Specific Products*, Health Canada, <https://perma.cc/68BD-993R>.

⁴⁷ *Reporting Adverse Reactions to Marketed Health Products – Guidance Document for Industry* § 1.3, Health Canada, <https://perma.cc/G2BE-W3MV>.

⁴⁸ *Adverse Reaction Reporting For Specific Products*, Health Canada, *supra* note 46.

⁴⁹ *A Guide for Voluntary Recall of Consumer Products or Cosmetics in Canada* ¶ 3.2.2, Health Canada, <https://perma.cc/DG57-ZUDD>.

⁵⁰ *Report an Incident Involving a Consumer Product or Cosmetic*, Health Canada, <https://perma.cc/BE2N-GPN8>.

Consumers can also submit an adverse reaction report online by filling out the Consumer Product Incident Report Form.⁵¹ If Health Canada is not the right organization, it notifies the consumer and asks whether it can direct the report to the right agency. Personal information included in the report is protected by the Privacy Act.⁵²

Health Canada asks that reports from both consumers and the industry provide detailed information on the product (product brand, name, description, the store where it was bought, etc.), the incident (describing the injury, date, the type of medical care needed, etc.), and the manufacturing details on the label (serial number, date of manufacture, address of the manufacturer, etc.).⁵³

D. Cosmetic Labeling

Cosmetic labeling is governed by the FDA, the Cosmetic Regulation, the Consumer Packaging and Labelling Act, and the Consumer Packaging and Labelling Regulations.⁵⁴ According to section 17 of the FDA, “[w]here a standard has been prescribed for a cosmetic, no person shall label, package, sell or advertise any article in such a manner that it is likely to be mistaken for that cosmetic, unless the article complies with the prescribed standard.”⁵⁵ Section 16 of the Cosmetic Regulations prohibits the sale of a cosmetic product unless it complies with all of the labeling requirements.⁵⁶

Health Canada’s *Industry Guide for the Labelling of Cosmetics* states that

[t]he Food and Drugs Act and the Cosmetic Regulations govern the classification and labelling of cosmetic products with regard to the:

- expression of the product’s identity on its label,
- name and address of the principal place of business of the manufacturer (see definition) indicated on the label,
- listing of ingredients on the label, and
- avoidable hazards presented by the cosmetic.

In addition, the Act and Regulations also address the issues of composition, safety, and advertising.

The Cosmetic Regulations under the Food and Drugs Act allow a designated Health Canada inspector to inspect:

- cosmetic products,

⁵¹ *Cosmetic or Consumer Product Incident Report – Form for Consumer*, Gov’t of Canada, <https://perma.cc/L5CF-CQ76>.

⁵² Privacy Act, R.S.C., 1985, c. P-21, <https://perma.cc/Q74Q-PSTF>.

⁵³ *Report an Incident Involving a Consumer Product or Cosmetic*, Health Canada, *supra* note 50.

⁵⁴ *Labelling of Cosmetics – Consumer Product Safety*, Health Canada, <https://perma.cc/SKE9-FWDU>.

⁵⁵ FDA § 17.

⁵⁶ Cosmetic Regulations § 18(b).

- locations where cosmetics are manufactured or stored, and
- any labelling or advertising material related to a cosmetic product.⁵⁷

Section 18 of the Cosmetic Regulations states that any information on the label must be clear and legible for the duration of the life of the product.⁵⁸

The Consumer Packaging and Labelling Act and Regulations “prescribe the mandatory information that must appear on the label of a pre-packaged cosmetic product.”⁵⁹ A list of ingredients must appear on the outer label of a cosmetic, with each ingredient listed only by its International Nomenclature of Cosmetic Ingredients (INCI) name,⁶⁰ in descending order.⁶¹

Until a November 16, 2006, amendment to the Cosmetics Regulations, there was no requirement to put the ingredients list on the label of a cosmetic product.⁶² According to some industry experts,⁶³ this requirement carried with it the problem of fitting an ingredients list onto the labels in both French and English.⁶⁴

Section 18 of the Cosmetic Regulations stipulates that

The information required by these Regulations to be provided on the label of a cosmetic must

- (a) be shown both in English and in French, except for the INCI name; and
- (b) be clearly legible and remain so throughout the useful life of the cosmetic, or in the case of a refillable container, throughout its useful life, under normal conditions of sale and use.

The Canadian government recognizes the INCI system required in the European Union as the standard for ingredient terms because of its application in several countries.⁶⁵ A list of ingredients must appear on the outer label of a cosmetic, with each ingredient listed by its INCI name,⁶⁶ if not

⁵⁷ Health Canada, Industry Guide for the Labelling of Cosmetics ¶ 1.1 (2006), <https://perma.cc/87Q5-H47D>.

⁵⁸ Cosmetic Regulations § 18(b).

⁵⁹ Id.

⁶⁰ Cosmetic Regulations, § 21.2 (1).

⁶¹ Id. § 21.4 (1).

⁶² 1 Janet Winter Blaschke, *Global Regulatory Issues for the Cosmetics Industry* 22-23 (C.I. Betton ed., William Andrew 2007).

⁶³ Id.

⁶⁴ “French cannot be of lesser importance than English” under the bilingual requirement of the Quebec Language Ministry. Id.

⁶⁵ Stefano Dorato, *Analysis of Cosmetic Products* 26 (Amparo Salvador & Alberto Chisvert eds., 2d ed., Elsevier 2018).

⁶⁶ Cosmetic Regulations § 21.2 (1). For an overview of the INCI labeling requirements of the Cosmetics Regulations see Health Canada, *Guide to Cosmetic Ingredient Labelling* (2009), <https://perma.cc/GT9V-LF6B>.

by the appropriate English and French equivalents.⁶⁷ All ingredients must be listed in descending order of predominance.⁶⁸

Other labeling requirements include

- the name of the manufacturer and the address of their principal place of business,⁶⁹
- the identity of the cosmetic in terms of its common or generic name or in terms of its function, unless the identity is obvious⁷⁰
- the net quantity of the product,⁷¹ (units of measure in the metric system),⁷² and
- the avoidable hazards and cautions.⁷³

Ad Standards,⁷⁴ the self-regulating body of Canada's advertising industry, has published a guidance document on acceptable claims that can be made on cosmetic labels.⁷⁵

E. Good Manufacturing Practices

Section 16 paragraph c of the FDA states that

No person shall sell any cosmetic that

- (a) has in or on it any substance that may cause injury to the health of the user when the cosmetic is used,
 - (i) according to the directions on the label or accompanying the cosmetic, or
 - (ii) for such purposes and by such methods of use as are customary or usual therefor;
- (b) consists in whole or in part of any filthy or decomposed substance or of any foreign matter; or
- (c) was manufactured, prepared, preserved, packaged or stored under unsanitary conditions.⁷⁶

⁶⁷ Cosmetic Regulations § 21.2 (4).

⁶⁸ Id. § 21.4(1).

⁶⁹ Id. § 20(a).

⁷⁰ Id. § 20(b).

⁷¹ Consumer Packaging and Labelling Regulations §§ 10 & 12(a).

⁷² Id. § 4(1) & §§ 24-27; Weights and Measures Act, R.S.C., 1985, c. W-6, <https://perma.cc/9WHA-U4JY>.

⁷³ Cosmetic Regulations §§ 22-26.

⁷⁴ Ad Standards has been providing advertising clearance since 1992, when Health Canada transferred this function to the organization. Ad Standards reviews cosmetic broadcast advertising copy to ensure compliance. *Industry Guide for the Labelling of Cosmetics*, Health Canada, <https://perma.cc/3AAT-RX2C>.

⁷⁵ Ad Standards, *Guidelines for the Nonprescription and Cosmetic Industry Regarding Non-Therapeutic Advertising and Labelling Claims* (Oct. 2016), <https://perma.cc/8CD8-NQ37>.

⁷⁶ FDA § 16.

Similarly, section 18 of the FDA states: “No person shall manufacture, prepare, preserve, package or store for sale any cosmetic under unsanitary conditions.”⁷⁷

“Unsanitary conditions” are defined by section 2 of the FDA as such conditions or circumstances as might contaminate with dirt or filth, or render injurious to health, a food, drug or cosmetic.⁷⁸

To adhere these safety and quality conditions, Health Canada strongly encourages manufacturers to comply with GMPs.⁷⁹

1. ICCR

As mentioned above, Canada is a member of the ICCR, which was established in 2007.⁸⁰ The ICCR’s purpose is to harmonize regulatory standards among its members to ensure a maximum level of consumer protection while also stimulating international trade in cosmetic products by minimizing trade barriers.⁸¹ Currently, the ICCR has five members.⁸²

In ICCR’s first annual meeting in September 2007, the members committed to International Standard Organization (ISO) standard 22716 on good manufacturing standards in the cosmetics industry, as they recognized the importance of GMPs and a need to work towards a common GMPs goal.⁸³ To this end, Canada created GMP guidelines taking into consideration the ISO standard.⁸⁴

The International Standards Organization (ISO) published guidelines (ISO 22716:2007) on good manufacturing standards in the cosmetics industry in 2007, which recommend industry standards on production, control, storage, and shipment of cosmetic products.⁸⁵ The guidelines are concerned with the quality aspects of the product, and they do not cover safety aspects for employees in manufacturing facilities or environmental concerns.⁸⁶

⁷⁷ Id. § 18.

⁷⁸ Id. § 2.

⁷⁹ *Good Manufacturing Practices (GMPs) for Cosmetic Products*, Health Canada, <https://perma.cc/Q3VM-69NY>.

⁸⁰ *International Cooperation on Cosmetics Regulation*, Health Canada, <https://perma.cc/Q3VM-69NY>.

⁸¹ *International Cooperation on Cosmetics Regulation (ICCR)*, U.S. Food & Drug Admin., <https://perma.cc/ZS5Y-G46Y>; see also *Terms of Reference for ICCR* (Aug. 2007), <https://perma.cc/NT3C-RUBF>.

⁸² The members and their respective cosmetics regulatory authorities are: Canada (Health Canada), the European Union (the European Commission Directorate-General for Internal Market, Industry, Entrepreneurship, and Subject Matter Experts), the United States (Food and Drug Administration), Japan (Ministry of Health, Labour and Welfare of Japan) and, since 2014, Brazil (Brazilian Health Surveillance Agency).

⁸³ ICCR, *Outcome of Meeting* (Sept. 28, 2007), <https://perma.cc/TBT8-PVBA>.

⁸⁴ ICCR, *Meeting Summary* (Sept. 2009), <https://perma.cc/FP5E-TG9E>; ICCR, *Meeting Summary* (Aug. 2008), <https://perma.cc/89K3-YQVQ>.

⁸⁵ ISO, *Cosmetics – Good Manufacturing Practices (GMP) – Guidelines on Good Manufacturing Practices*, <https://perma.cc/X6QP-6B9Y>.

⁸⁶ *Cosmetics – Good Manufacturing Practices (GMP) – Guidelines on Good Manufacturing Practices (Abstract)*, ISO, <https://www.iso.org/obp/ui/#iso:std:iso:22716:ed-1:v2:en>.

2. Canada's GMP Guidelines

Health Canada has made available GMP guidelines to provide manufacturers with a basic, unenforceable, and nonbinding list of considerations to encourage them to comply with the standards set under FDA sections 16 and 18.⁸⁷ They are manufacturing guidelines which are used to “ensure product quality control and an effective approach to risk management. These guidelines set out standards for product manufacturing, testing, storage, handling and distribution, to ensure that each step of manufacturing is acceptable for quality and safety of the product.”⁸⁸ These guidelines are not specific rules on the manufacturing of cosmetics, but they provide a framework for desired outcomes during manufacture. Health Canada states that each manufacturer, large or small, may have their own ways of reaching these expected outcomes. Canada GMP guidelines recommend that manufacturers in Canada benefit from the more detailed accounts of the GMPs on the ISO website,⁸⁹ the US Good Manufacturing Practice (GMP) Guidelines/Inspection Checklist for Cosmetics,⁹⁰ the US Draft Guidance for Industry: Cosmetic Good Manufacturing Practices,⁹¹ and the Personal Care Products Council,⁹² specifically the 2018 Quality Assurance Guidelines.⁹³ Health Canada provides the following list as guidelines:

Building and Facilities

- building is adequate for the manufacture and storage of cosmetics
- walls, floors, fixtures, ducts, pipes, lighting, ventilation, water supply, drainage, toilet facilities are adequate for the work and in good repair
- building has adequate air supply quality
- building has adequate pest control program to prevent attracting or harbouring pests

Equipment

- equipment used in processing is adequate, well maintained, and free from contamination

Personnel

- personnel have adequate education, training, experience and personal cleanliness

⁸⁷ *Good Manufacturing Practices (GMPs) for Cosmetic Products*, Health Canada, *supra* note 79.

⁸⁸ *Id.*

⁸⁹ ISO, *Cosmetics – Good Manufacturing Practices (GMP) – Guidelines on Good Manufacturing Practices*, *supra* note 85.

⁹⁰ *Good Manufacturing Practice (GMP) Guidelines/Inspection Checklist for Cosmetics*, U.S. Food & Drug Admin., <https://perma.cc/W9Z9-S6BU>.

⁹¹ U.S. Food & Drug Admin., *Guidance for Industry – Cosmetic Good Manufacturing Practices (Draft Guidance)* (2013), <https://perma.cc/J7KB-8H72>.

⁹² Personal Care Products Council, <https://www.personalcarecouncil.org/>.

⁹³ PCPC, *PCPC 2018 Quality Assurance Guidelines*, <https://perma.cc/J6LC-7JK8>.

Raw Materials

- raw materials are stored and handled to prevent contamination or alteration
- materials are tested or examined to assure quality

Production

- manufacturing and control procedures are established and written instructions for procedures are maintained

Laboratory Controls

- raw materials, samples and finished products are tested or examined to ensure they meet the defined standard
- water supply is free from contamination

Records

- records are maintained for raw materials, manufacturing, finished products and distribution

Labelling

- labels on finished product contain the required information

Complaints

- establishment maintains a consumer complaint file

Other

- products adhere to all regulatory requirements
- products do not contain prohibited ingredients or substances⁹⁴

F. Imports into the United States

The FDA and Consumer Packaging and Labelling Regulations have sections stipulating that cosmetic products manufactured or imported for the purposes of export are exempt from all of their provisions.

Exports

Conditions under which exports exempt

37 (1) This Act does not apply to any packaged food, drug, cosmetic or device if

- (a) it is manufactured or prepared in Canada;
- (b) it is intended for export and is not manufactured or prepared for consumption or use in Canada nor sold for consumption or use in Canada;
- (c) a certificate that the package and its contents do not contravene any known requirement of the law of the country to which it is or is about to be consigned has been issued in respect of the package and its contents in prescribed form and manner; and

⁹⁴ *Good Manufacturing Practices (GMPs) for Cosmetic Products*, Health Canada, *supra* note 79.

(d) the packaged food, drug, cosmetic or device meets any other prescribed requirement.

Conditions under which transshipment exempt

38 This Act does not apply to any packaged food, drug, cosmetic or device if

- (a) it is manufactured or prepared outside Canada;
- (b) it is imported solely for the purpose of export and is not sold for consumption or use in Canada; and
- (c) it meets any other prescribed requirement.⁹⁵

Exemptions from All Provisions of the Act

3 (2) Prepackaged products that are produced or manufactured only for export or for sale to a duty-free store, are exempt from all the provisions of the Act.⁹⁶

III. Classification of Products at Cosmetic-Drug Interface

There are instances when a product does not clearly fall within the definition of “a cosmetic” under Section 2 of the FDA. Certain products might be mistaken for cosmetic products even though they are classified under different categories of products, e.g., drugs, natural health products, food, or pesticides, and are thus subject to different regulations. For example, Health Canada lists soap as an example of a cosmetic, whereas sunscreens (including makeup products with sun protection factor) are not considered cosmetics.⁹⁷

Natural Health Products are considered to be a subset of the category of drug.⁹⁸ Although the term “drug” includes the Natural Health Products, the Natural Health Products are not regulated by the Food and Drug Regulation but regulation by the Natural Health Products Regulations.

A personal care product (PCP) is defined as a “substance or mixture of substances which is generally recognized by the public for use in daily cleansing or grooming” and “may fall into one of three regulatory categories in Canada: cosmetics, drugs or natural health products.”⁹⁹ Health Canada recognizes certain personal care products as Products at the Cosmetic-Drug Interface (PCDI). These PCDI share characteristics of both a “cosmetic” and a “drug” defined under section 2 of the FDA.¹⁰⁰ Examples of PCDI include acne therapy products, antiperspirants, anti-dandruff products, skin whiteners, tooth whiteners, etc.¹⁰¹ A PCDI may be regulated by one of the three implementing regulations of the FDA, which are the Cosmetic Regulations, the Food and Drug Regulations, and the Natural Health Products Regulations. Health Canada has published an

⁹⁵ FDA §§ 37(1) & 38.

⁹⁶ Consumer Packaging and Labelling Regulations § 3(1).

⁹⁷ For both lists, see *Notification of Cosmetics*, Health Canada, supra note 13.

⁹⁸ Natural Health Products Regulations, SOR/2003-196, § 1(1), <https://perma.cc/B5K7-9RBU>.

⁹⁹ *Guidance Document: Classification of Products at the Cosmetic-Drug Interface*, Health Canada, <https://perma.cc/755Y-N6UF>.

¹⁰⁰ Id.

¹⁰¹ *Cosmetic-Drug Interface*, Health Canada, <https://perma.cc/Y89K-V4KS>.

official document providing guidance for industry professionals and clarifying how it interprets PCDI and decides on the relevant regulatory framework for PCDI.¹⁰²

Health Canada will classify a PCDI taking into consideration three criteria on a case-by-case basis.¹⁰³ According to Health Canada, these criteria are:¹⁰⁴

1. Representation: On the market, a cosmetic product should be represented as serving a cosmetic function (such as cleansing or moisturizing etc.) If there is claim on the label, package or advertisement of the product suggesting or implying that the product does have a therapeutic effect, that product will not be a cosmetic.¹⁰⁵ It will be considered to be a drug and will be regulated under different legislations. Health Canada provides the following example:¹⁰⁶ Claiming "cleanser for oily skin" versus claiming "prevents and kills acne bacteria." An official guideline for differentiating between non-therapeutic and therapeutic claims is available.¹⁰⁷
2. Composition of the product: Although the composition of a product alone does not determine its classification, the presence of an ingredient (for example if a restricted ingredient from the Cosmetic Ingredient Hotlist), or its concentration, may make the product unsuitable for classification as a cosmetic. Certain uses of some active ingredients from Category IV Monographs may define the product as a non-prescription drug.
3. Level of action: Cosmetics are normally applied to an external part of the body. For example, a cosmetic can be applied to area around the eyes, but if the product is directly applied into the eyes, it is not classified as a cosmetic. The only exception to this factor is tattoo ink.¹⁰⁸

¹⁰² *Guidance Document: Classification of Products at the Cosmetic-Drug Interface*, Health Canada, *supra* note 99.

¹⁰³ *Notification of Cosmetics*, Health Canada, *supra* note 13.

¹⁰⁴ *Guidance Document: Classification of Products at the Cosmetic-Drug Interface*, Health Canada, *supra* note 99.

¹⁰⁵ EcoMundo, *Understanding Canada's Cosmetic Regulations* (Apr. 26, 2019), <https://perma.cc/SH3Y-EVME>.

¹⁰⁶ *What Is a Cosmetic?*, Health Canada, *supra* note 19.

¹⁰⁷ *Ad Standards, Guidelines for the Nonprescription and Cosmetic Industry Regarding Non-Therapeutic Advertising and Labelling Claims*, *supra* note 75.

¹⁰⁸ *Notification of Cosmetics*, Health Canada, *supra* note 13.

Lastly, when a product is reclassified, a Product Assessment Against Criteria (PAAC) providing for a detailed justification for the reclassification decision is published. Currently completed PAACs include antiperspirants,¹⁰⁹ diaper rash products,¹¹⁰ and upon-request medicated skin care products.¹¹¹

¹⁰⁹ *Product Assessment Against Criteria: Antiperspirants*, Health Canada, <https://perma.cc/BUG8-YEQE>.

¹¹⁰ *Product Assessment Against Criteria: Diaper Rash Products*, Health Canada, <https://perma.cc/L4AD-WL8Q>.

¹¹¹ *Cosmetic-Drug Interface*, Health Canada, *supra* note 101.

China

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SUMMARY China passed the Cosmetic Supervision and Administration Regulation on January 3, 2020. Once it takes effect, the new Regulation will repeal the current overarching cosmetics regulation. The final version of the Regulation has not been released.

According to a draft of the Regulation, manufacturers must apply for a cosmetics production license by submitting proof of proper facilities. Cosmetic products are also subject to pre-market registration or filing. The applicant for the registration or filing is responsible for the quality, safety, and efficacy of the products (“Responsible Person”).

Prior to the registration or filing, a product safety assessment must be performed by a person who has the relevant professional knowledge in medicine, pharmacy, chemistry, or toxicology and five years’ work experience.

If a cosmetic product has quality defects or may otherwise present a risk to human health, the Responsible Person must immediately stop the manufacturing activities, recall the products, and notify retailers and consumers, among other measures prescribed by the Regulation. The Responsible Person must also report the recall and measures taken to the local medical product authorities at the county level.

I. Legal Framework

In China, the primary regulation of cosmetics is the Regulation Concerning the Hygiene Supervision over Cosmetics issued by the State Council (i.e., cabinet) in 1989 (Hygiene Regulation).¹ There are also a series of subsidiary rules, standards, and guidance documents issued by the former competent authority, the China Food and Drug Administration (CFDA) under the Ministry of Health, and the current competent authority, the National Medical Products Administration (NMPA) under the State Administration for Market Regulation.²

Since the issuance of the 1989 Hygiene Regulation, the country’s cosmetic market has grown significantly and the cosmetics industry has undergone “tremendous change.”³ As a result, in

¹ State Council, Regulation Concerning the Hygiene Supervision over Cosmetics (Nov. 13, 1989, effective Jan. 1, 1990), <https://perma.cc/W3UU-JK7R> (in Chinese), amended by Decision of the State Council on Amending Some Administrative Regulations (State Council Decree No. 709, Mar. 18, 2019), <https://perma.cc/RG62-RRXV> (in Chinese).

² Echo Cao, *China Mainland Cosmetics Regulation*, Chemlinked (Jan. 28, 2014), <https://perma.cc/5U43-8CMN>; *Main Responsibilities of the National Medical Products Administration*, National Medical Products Administration, <https://perma.cc/Y9R5-SVBS>.

³ Cao, *supra* note 2.

2013, China started the process of revising the outdated Hygiene Regulation.⁴ On January 3, 2020, the State Council passed the Cosmetic Supervision and Administration Regulation (Regulation).⁵ Once it takes effect, the new Regulation will repeal the Hygiene Regulation and overhaul the current cosmetic regulatory system.⁶

Although the final version of the new Regulation has not been released, the State Council published an official draft in 2015 to solicit comments from the public.⁷ Later, in December 2018, China submitted an updated draft of the Regulation to the World Trade Organization (Draft Regulation).⁸

II. Registration of Cosmetics Facilities

A. Pre-market Registration and Filing of Cosmetic Products

According to the Draft Regulation, special use cosmetics, i.e., hair dyes, hair-perming products, freckle-removing and whitening products, sunscreens, and any other products claiming to have new efficacies, require pre-market registration with the NMPA.⁹ Non-special use cosmetics are subject to pre-market filing with the medical products administration (MPA) at the provincial level.¹⁰

The applicant for the cosmetic product registration or filing is responsible for the quality, safety, and efficacy of the product (“Responsible Person”). The Responsible Persons may produce the product on its own or entrust other manufacturers to produce the product.¹¹

B. Cosmetics Production License

Manufacturers must apply for a cosmetics production license from the provincial MPA. The license is valid for five years and may be renewed in accordance with the laws.¹²

⁴ Angelita Hu, *China State Council Passes the Long-Awaited Overarching Cosmetic Regulation*, Chemlinked (Jan. 4, 2020), <https://perma.cc/9U73-QJXJ>.

⁵ Central Government of the People’s Republic of China, Li Keqiang Presided Executive Meeting of the State Council, Deciding on Matters Including Measures to Promote Steady Growth of Manufacturing Industry (Jan. 3, 2020), <https://perma.cc/7MD3-NND5> (in Chinese).

⁶ Cao, *supra* note 2.

⁷ State Council Legislative Affairs Office, Draft Cosmetic Supervision and Administration Regulation (July 20, 2015), <https://perma.cc/3J94-CDFQ> (in Chinese).

⁸ Cosmetic Supervision and Administration Regulation (Draft) (Draft Regulation), World Trade Organization website, <https://perma.cc/6EU7-DMQD> (in Chinese, all translations by author).

⁹ Draft Regulation arts. 12 & 13.

¹⁰ *Id.*

¹¹ *Id.* art. 22.

¹² *Id.* art. 24.

When applying for the license, a manufacturer must submit materials to prove that it has the proper facilities, including:

- (1) proper production sites, environments, and production facilities and equipment for the types of cosmetics to be produced
- (2) technical personnel suitable for cosmetics production
- (3) inspectors and facilities for quality inspection of the cosmetics to be produced
- (4) a safety management system¹³

III. Cosmetic Safety Review and Substantiation Standards

Under the Draft Regulation, prior to the registration or filing of a cosmetic product, a product safety assessment must be performed by a person who has the relevant professional knowledge in medicine, pharmacy, chemistry, or toxicology and five years' work experience.¹⁴

In addition, manufacturers must appoint a person responsible for the safety and quality of their products. The person must have the relevant professional knowledge in medicine, pharmacy, chemistry, toxicology, chemical engineering, or biology and five years' cosmetics production or quality control experience.¹⁵

The Draft Regulation does not specify the requirements for the safety assessment, which are expected to be formulated by the NMPA in the Guidance for Safety Risk Assessment of Cosmetics.¹⁶ The former regulator, CFDA, published draft guidance in 2015, which contains the requirements for safety assessor, procedures for the assessment, and requirements for the safety assessment reports.¹⁷

IV. Adverse Event Reporting

If a cosmetic product has quality defects or may otherwise present a risk to human health, the Responsible Person must immediately stop the manufacturing activities, recall the products, and notify retailers and consumers, among other measures prescribed by the Regulation. The Responsible Person must also report the recall and measures taken to the local medical product authorities at the county level.¹⁸

¹³ Id. art. 23.

¹⁴ Id. art. 14.

¹⁵ Id. art. 28.

¹⁶ Hu, *supra* note 4.

¹⁷ CFDA, Guidance for Cosmetic Safety Risk Assessment (Draft for Public Consultation) (Nov. 10, 2015), <https://perma.cc/NWZ6-R5NM>.

¹⁸ Draft Regulation art. 36.

If the local authority at or above the county level finds a cosmetic product has quality defects or may otherwise present a risk to human health, it may order the product to be recalled or the suspension of manufacturing activities and sales.¹⁹

V. Cosmetics Labeling

Labels on cosmetic products must be in Chinese and contain the following items:

- name of the product
- name and address of the Responsible Person
- license number, name, and address of the manufacturer
- license number of special use cosmetics
- number of the product standard
- all ingredients
- period of use
- net volume
- direction of use and necessary safety warnings
- other content prescribed by laws or regulations²⁰

VI. Good Manufacturing Practices

According to the Draft Regulation, cosmetics manufacturers must comply with the manufacturing guidelines issued by the central government medical product authority and implement management systems concerning supplier selection, raw material evaluation, product recall, etc.²¹

The CFDA previously issued the Practice for Cosmetics Manufacturing Licensing, which contain the requirements and conditions for companies that want to manufacture cosmetics. Manufacturers must comply with the document in order to obtain the cosmetics production license.²²

VII. Treatment of Small and Medium-Sized Enterprises (SMEs)

No special treatment has been identified specifically applying to small and medium-sized cosmetics enterprises. China passed the Law on the Promotion of Small and Medium-sized

¹⁹ Id.

²⁰ Id. art. 39.

²¹ Id. art. 25.

²² Angelita Hu, *China Cosmetic Production License Deadline Drawing Close*, Chemlinked (Dec. 13, 2016), <https://perma.cc/6N9B-NFLG>.

Enterprises in 2002 and revised the Law in 2017, calling for government protection and promotion of SMEs.²³

VIII. Cosmetics Imports into the United States

China is not a member of the International Cooperation on Cosmetics Regulation (ICCR), a network of regulatory authorities of the European Union, United States, Canada, Japan, and Brazil, but its representative participated in the ICCR annual meetings as an observer from 2013 to 2015.²⁴

²³ Law on the Promotion of Small and Medium-Sized Enterprises (adopted by the National People's Congress Standing Committee on June 29, 2002, revised Sept. 1, 2017, effective Jan. 1, 2018), <https://perma.cc/STX2-5LJC>.

²⁴ *International Cooperation on Cosmetics Regulation (ICCR) Eighth Annual Meeting Held in Ottawa, Canada from July 8-10, 2014*, ICCR, <https://perma.cc/LQ53-2EC6>; *International Cooperation on Cosmetics Regulation (ICCR) Ninth Annual Meeting Held in Brussels, Belgium from November 4-6, 2015*, ICCR, <https://perma.cc/XPB8-HLMG>.

European Union

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SUMMARY The European Union (EU) started regulating cosmetics as early as 1976. The main legislation in the EU in the area of cosmetics is the Cosmetics Regulation, which aims “to ensure the functioning of the internal market and a high level of protection of human health.” In addition, the Regulation on Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH) applies to the ingredients in cosmetics.

Every manufacturer and importer of cosmetics must appoint a responsible person. The responsible person must submit detailed information on the cosmetic product before it is placed on the market. Furthermore, a safety assessment and a safety report, which must be kept up-to-date, are mandatory. Responsible persons who become aware that their product is unsafe or have reason to believe that it might be unsafe must take corrective actions and inform the respective national authorities. Any undesirable and serious undesirable effects of the cosmetic product and any corrective measures taken must be communicated to the public and the national authorities.

The EU Cosmetics Regulation contains detailed rules on the labeling of cosmetic products. The list of ingredients must use the names established in the common glossary by the European Commission to ensure consistency, or use internationally recognized nomenclature.

The manufacture of cosmetics must comply with good manufacturing practice. There is a presumption that the manufacture is in accordance with such practices when it complies with the relevant harmonized standards as established by the European standardization bodies.

The Cosmetics Regulation generally establishes the same rules for small and medium-sized enterprises (SMEs) and large enterprises, but takes the specific needs of SMEs into account, in accordance with general EU policy on SMEs.

I. Introduction

The European Union (EU) cosmetics market is the largest in the world. In 2018, it was valued at €78.6 billion (about US\$87.6 billion), according to Cosmetics Europe, the European trade association for the cosmetics and personal care industry.¹ The largest national markets can be found in Germany (€13.8 billion (about US\$15.4 billion)), France (€11.4 billion (about US\$12.7 billion)), the United Kingdom (€10.9 billion (about US\$12.2 billion)), Italy (€10.1 billion (about US\$11.3 billion)), and Spain (€7 billion (about US\$7.8 billion)).² Germany and France were also the

¹ *Cosmetics and Personal Care Industry Overview*, Cosmetics Europe, <https://perma.cc/6TZH-E4NF>.

² *Id.*

largest exporters of cosmetic products from Europe, with a combined volume of 50% of the total €21.5 billion (about US\$24 billion) exports in 2018.³

The EU started regulating cosmetics as early as 1976 with the adoption of the Cosmetics Directive.⁴ The Directive established rules on the composition, labeling, and packaging of cosmetic products. It was amended several times over the years. In 2004 and 2009 respectively, an animal testing ban on finished cosmetics products and on ingredients or combinations of ingredients took effect. In addition, since 2009, a marketing ban for finished cosmetics products and ingredients that were tested on animals has been in force. For some specific health effects, the marketing ban has been applied since 2013. The Directive was replaced by the Cosmetics Regulation, which entered into force on July 11, 2013.⁵

II. Legal Framework

The main legislation in the EU in the area of cosmetics is the Cosmetics Regulation. An EU regulation is directly applicable in the EU Member States once it enters into force and does not need to be transposed into national law.⁶ Member States are only allowed to regulate topics that fall outside the scope of such a regulation.

The aim of the Cosmetics Regulation is “to ensure the functioning of the internal market and a high level of protection of human health.”⁷ The Regulation maintains the legal regime put in place by the Cosmetics Directive, but tightens the safety requirements and updates the rules to keep abreast with technological development, in particular the use of nanomaterials. It defines cosmetic products as “any substance or mixture intended to be placed in contact with the external parts of the human body (epidermis, hair system, nails, lips and external genital organs) or with the teeth and the mucous membranes of the oral cavity with a view exclusively or mainly to cleaning them, perfuming them, changing their appearance, protecting them, keeping them in good condition or correcting body odours.”⁸

In addition, the Regulation on Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH) applies to the ingredients in cosmetics.⁹ The REACH entered into force in 2007 and is also directly applicable in the EU Member States. In January 2019, the European Chemicals Agency (ECHA) proposed to restrict microplastics that are intentionally added to

³ Id.

⁴ Cosmetics Directive, 1976 O.J. (L 262) 1 (no longer in force), <https://perma.cc/4BW5-7FTK>.

⁵ Consolidated Version of the Cosmetics Regulation, 2009 O.J. (L 342) 59, <https://perma.cc/F459-8P67>.

⁶ Consolidated Version of the Treaty on the Functioning of the European Union [TFEU], art. 288, para. 2, 2016 O.J. (C 202) 1, <https://perma.cc/3W4X-VPFZ>.

⁷ Cosmetics Regulation, art. 1.

⁸ Id. art. 2, para. 1(a).

⁹ Consolidated Version of the Regulation on the Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH), 2006 O.J. (L 396) 1, <https://perma.cc/2AM2-K2G8>.

mixtures.¹⁰ Several EU Member States have introduced or are in the process of introducing bans on the use of microplastics in certain types of products, mostly with regard to wash-off cosmetic products.¹¹

A. Registration of Cosmetics Facilities

Manufacturers in the EU are not required to register their cosmetics facilities; however, they must appoint a “responsible person” who ensures compliance with the provisions of the Cosmetics Regulation.¹² Only companies that have appointed such a person may place their cosmetic products on the EU market. For products manufactured within the EU, the manufacturer established within the EU is deemed the responsible person, whereas manufacturers that are established outside the EU must designate a responsible person within the EU.¹³ For imported products, the importer is the responsible person, unless he or she appoints in writing a person within the EU.¹⁴ A distributor is deemed the responsible person where he or she places a cosmetic product on the market under his name or trademark or modifies a product already placed on the market in such a way that compliance with the applicable requirements might be affected.¹⁵

Before a product may be placed on the market, the responsible person must submit detailed product information through the online Cosmetic Products Notification Portal (CPNP) regarding, among others, the category of the cosmetic product, contact information of the responsible person where the product information file is available, presence of substances in the form of nanomaterials, and the formula used.¹⁶

B. Cosmetic Safety Review/Substantiation Standards

Every cosmetic product placed on the market must have undergone a safety assessment.¹⁷ The safety assessment must be completed by a person with a diploma or other evidence of formal qualifications awarded on completion of a university course of theoretical and practical study in pharmacy, toxicology, medicine, or a similar discipline.¹⁸ The requirements for the safety assessment are outlined in part B of annex I of the Cosmetics Regulation. The responsible person must make certain that the safety assessment takes into account the intended use of the cosmetic product and the anticipated systematic exposure to individual ingredients, and that an

¹⁰ Press Release, European Chemicals Agency (ECHA), ECHA Proposes to Restrict Intentionally Added Microplastics (Jan. 30, 2019), <https://perma.cc/TMZ5-M76V>.

¹¹ *Id.*

¹² Cosmetics Regulation, art. 4.

¹³ *Id.* art. 4, paras. 3, 4.

¹⁴ *Id.* art. 4, para. 5.

¹⁵ *Id.* art. 4, para. 6.

¹⁶ *Id.* arts. 13, 16. For more information on the Cosmetic Products Notification Portal (CPNP), see *CPNP - F.A.Q.*, CPNP, <https://perma.cc/J9SM-9B3R>.

¹⁷ Cosmetics Regulation, art. 10, para. 1.

¹⁸ *Id.* art. 10, para. 2.

appropriate weight-of-evidence approach is used for reviewing data.¹⁹ The safety assessment must contain an assessment conclusion, an explanation of the scientific reasoning leading to the assessment conclusion, a statement on the need to label any particular warnings and instructions of use, and the assessor's credentials and approval of the safety assessment.²⁰

In addition, a safety report must be prepared.²¹ The requirements for the safety report are outlined in part A of annex I of the Cosmetics Regulation. The responsible person must ensure that the product safety report is kept up to date.²²

Safety reports must, as a minimum, cover the following information:

- quantitative and qualitative composition of the cosmetic product
- physical/chemical characteristics and stability of the cosmetic product
- microbiological quality
- impurities, traces, information about the packaging material
- normal and reasonably foreseeable use
- exposure to the cosmetic product in relation to the site(s) of application, the surface area(s) of application, the amount of product applied, the duration and frequency of use, the normal and reasonably foreseeable exposure route(s), and the targeted (or exposed) population(s)
- exposure to the substances for the relevant toxicological endpoints
- toxicological profile of the substances
- undesirable effects and serious undesirable effects
- other relevant information on the cosmetic product, such as existing studies from human volunteers²³

C. Adverse Event Reporting

Responsible persons who become aware that their product is unsafe or have reason to believe that it might be unsafe must take corrective actions, including withdrawing or recalling the product if necessary.²⁴ In addition, if the product presents a risk to human health, the competent national authorities in the EU Member States must be notified immediately.²⁵ The notification must include detailed information of the non-compliance with the Cosmetics Regulation and the

¹⁹ Id. art. 10, para. 1.

²⁰ Id. annex I, part B.

²¹ Id. art. 10, para. 1.

²² Id.

²³ Id. annex I, part A.

²⁴ Id. art. 5, para. 2.

²⁵ Id. art. 5, para. 2.

corrective measures taken.²⁶ Upon request of the national authorities, the responsible persons must cooperate with them on any action to eliminate the risks, and provide them with all necessary information and documentation in a language easily understood by the national authorities.²⁷ If responsible persons do not comply with requests from national authorities, there is a serious risk to human health, and the non-compliance is not limited to the EU Member State in question, the national authorities must inform the European Commission and the authorities of the other EU Member States of the measures required of the responsible person.²⁸ The national authorities may also take provisional measures to withdraw, recall, or restrict the availability of the cosmetic product in question.²⁹

Furthermore, responsible persons must communicate without delay to the public and to the competent national authorities where the effect in question occurred any undesirable and serious undesirable effects (SUEs) of the cosmetic product and any corrective measures taken.³⁰ Undesirable effects are defined as “adverse reaction[s] for human health attributable to the normal or reasonably foreseeable use of a cosmetic product.”³¹ Serious undesirable effects (SUEs) are “undesirable effect[s] which result in temporary or permanent functional incapacity, disability, hospitalisation, congenital anomalies or an immediate vital risk or death.”³² The data on undesirable effects and SUEs must be included in the product safety reports.³³ The competent national authorities are cooperating and exchanging information on SUEs on the platform of European market surveillance authorities for cosmetics (PEMSAC) to ensure a coherent approach.³⁴ The European Commission has issued guidelines to streamline the reporting of SUEs and to ensure the follow-up by national authorities.³⁵

If a national market surveillance authority seriously doubts the safety of substance contained in a cosmetics product that is made available on its market, it may make a reasoned request to require the responsible person to submit a list of all cosmetics products containing that substance, including the concentration of the substance in question.³⁶

²⁶ Id.

²⁷ Id. art. 5, para. 3.

²⁸ Id. art. 25.

²⁹ Id. art. 27.

³⁰ Id. arts. 21, 23.

³¹ Id. art. 2, para. 1(o).

³² Id. art. 2, para. 1(p).

³³ Id. annex I, part A, no. 9.

³⁴ Id. art. 23, para. 2, art. 29. For details on PEMSAC, see *Register of Commission Expert Groups and Other Similar Entities. Group Details - Commission Expert Group. Name: Platform of European Market Surveillance Authorities in Cosmetics (E01465)*, European Commission, <https://perma.cc/T9FB-TBFS>.

³⁵ European Commission, *SUE Reporting Guidelines* (July 2013), <https://perma.cc/G7J3-6LY7>.

³⁶ Cosmetics Regulation, art. 24, para. 1.

D. Cosmetics Labeling

Containers and packaging of cosmetics products must mention in indelible, easily legible, and visible lettering:

- the name and address of the responsible person
- the nominal contents at the time of packaging, by weight or by volume
- the date of minimum durability (“best used before the end of”) for products with a minimum durability of 30 months
- the period of time after opening for which the product can be used for products with a minimum durability of more than 30 months (indicated with the symbol representing an open pot of cream)
- particular precautions for use
- the batch number of manufacture
- the function of the cosmetic product, unless clear
- a list of ingredients, meaning substances or mixtures intentionally used in the manufacturing of the cosmetic product³⁷

The information must be in the official language of the respective Member State.³⁸ With regard to the list of ingredients, they must be indicated by using the common ingredient name set out in the glossary established by the European Commission.³⁹ The European Commission must take account of internationally recognized nomenclature, including the International Nomenclature of Cosmetic Ingredients (INCI).⁴⁰ If there is no common ingredient name, the INCI term or other generally accepted nomenclature must be used.⁴¹ *CosIng* is the European Commission database for information on cosmetic substances and ingredients.⁴²

E. Good Manufacturing Practices

Article 8 of the Cosmetics Regulation provides that the manufacture of cosmetics must comply with good manufacturing practice to ensure the functioning of the internal market and a high level of protection of human health.⁴³ There is a presumption that the manufacturer is in

³⁷ Id. art. 19.

³⁸ Id. art. 19, para. 4.

³⁹ Id. art. 19, para. 6, art. 33; Commission Decision (EU) 2019/70, 2019 O.J. (L 121) 1, <https://perma.cc/F8Y3-K26B>.

⁴⁰ Cosmetics Regulation, art. 33.

⁴¹ Id. art. 19, para. 6.

⁴² *CosIng*, European Commission, <https://perma.cc/J6UG-6CEB>.

⁴³ Cosmetics Regulation, art. 8, para. 1.

accordance with such practices when it complies with the relevant harmonized standards.⁴⁴ Manufacturers remain free to use other methods to demonstrate compliance with the requirements of the Cosmetics Regulation. Harmonized standards are “standard[s] adopted by one of the European standardisation bodies . . . on the basis of a request made by the Commission.”⁴⁵ The recognized European standardization bodies are CEN, CENELEC, and ETSI.⁴⁶ Standards are defined as “technical specifications, adopted by a recognized standardization body, for repeated or continuous application, with which compliance is not compulsory.”⁴⁷ Technical specification means “a document that prescribes technical requirements to be fulfilled by a product . . . and which lays down . . . the characteristics required of a product.”⁴⁸ The references to these harmonized standards have been published in the *Official Journal*.⁴⁹

F. Treatment of Small and Medium-Sized Enterprises

The EU is generally committed to creating an improved business environment for small and medium-sized enterprises (SMEs) and avoiding disproportionate burdens on them. The Small Business Act (SBA) is the EU’s overarching framework to achieve that purpose.⁵⁰ It is not legally binding, but contains 10 principles that are supposed to guide EU and EU Member State policy.

The principles are as follows:

- Create an environment in which entrepreneurs and family businesses can thrive and entrepreneurship is rewarded
- Ensure that honest entrepreneurs who have faced bankruptcy quickly get a second chance
- Design rules according to the “Think Small First” principle, meaning taking SMEs’ interests into account at a very early stage of policy making
- Make public administrations responsive to the needs of SMEs
- Adapt public policy tools to SMEs’ needs: facilitate SMEs’ participation in public procurement and better use state aid possibilities for SMEs
- Facilitate SMEs’ access to finance and develop a legal and business environment supportive to timely payments in commercial transactions
- Help SMEs to benefit more from the opportunities offered by the EU’s single market

⁴⁴ Id. art. 8, para. 2.

⁴⁵ Id. art. 2, para. 1(j).

⁴⁶ Regulation (EU) No 1025/2012 on European Standardisation, recital 4, 2012 O.J. (L 316) 12, <https://perma.cc/R2GM-86S5>. For an overview, see *Key Players in European Standardisation*, European Commission, <https://perma.cc/V862-V9UQ>.

⁴⁷ Regulation (EU) No 1025/2012 on European Standardisation, art. 2, para. 1.

⁴⁸ Id. art. 2, para. 4(a).

⁴⁹ Commission Communication 2011/C 123/04, 2011 O.J. (C 123) 3, <https://perma.cc/2QUF-HP2B>.

⁵⁰ Commission Communication COM(2008) 394 final (June 25, 2008) (Small Business Act [SBA]), <https://perma.cc/TT3P-VGXH>.

- Promote the upgrading of skills in SMEs and all forms of innovation
- Enable SMEs to turn environmental challenges into opportunities
- Encourage and support SMEs to benefit from the growth of markets⁵¹

The Cosmetics Regulation generally establishes the same rules for SMEs and large enterprises. However, the Cosmetics Regulation, in accordance with general EU policy on SMEs, takes the specific needs of SMEs into account. With regard to the safety requirements for cosmetics, the European Commission, in close cooperation with stakeholders, is required to adopt appropriate guidelines to enable all enterprises, and in particular SMEs, to comply with the requirements for safety reports as outlined in annex I of the Cosmetics Regulation.⁵² In November 2013, the Commission adopted such guidelines, which were developed in cooperation with representatives from SMEs.⁵³ Furthermore, the Commission, in its annual report on animal testing to the European Parliament and the Council, must include a section “on the manner in which the specific needs of small and medium-sized enterprises have been taken into account.”⁵⁴

III. Cosmetics Imports into the U.S.

The EU cooperates with international stakeholders to enhance trade with non-EU countries and has therefore concluded various bilateral and multilateral cooperation agreements. The European Commission signed a confidentially agreement with the U.S. Food and Drug Administration (FDA) in 2007, which allows the EU and the FDA to exchange confidential information about the safety of cosmetics as part of their regulatory mandates in the field of cosmetics.⁵⁵ It covers information on advance drafts of legislation and/or regulatory guidance documents, post-marketing data and information that could have an impact on the public health, and information on ongoing and emerging regulatory issues of health and safety in the U.S. or the EU.⁵⁶ According to the Commission’s press release announcing the agreement, in 2007, around 7% of all cosmetic products in the U.S. were imported from the EU.⁵⁷

Furthermore, the EU and the U.S. discuss regulatory convergence in order to minimize trade barriers through the International Cooperation on Cosmetics Regulation (ICCR), which was

⁵¹ Id. at 4.

⁵² Cosmetics Regulation, art. 10, para. 1.

⁵³ Commission Implementing Decision 2013/674/EU, 2013 O.J. (L 315) 82, <https://perma.cc/D4V3-7GEN>.

⁵⁴ Cosmetics Regulation, art. 35, no. 3.

⁵⁵ Press Release, European Commission, EU Strengthens Cooperation with U.S. on Cosmetics and Medical Devices (July 5, 2007), <https://perma.cc/9JEF-6UKQ>.

⁵⁶ Id.

⁵⁷ Id.

established together with Japan and Canada.⁵⁸ Brazil joined the ICCR in 2014 and China has an observer status.⁵⁹

⁵⁸ *International Cooperation*, European Commission, <https://perma.cc/5JAY-X8X5>. For more information on the ICCR, see *International Cooperation on Cosmetics (ICCR)*, U.S. Food & Drug Administration, <https://perma.cc/KW8M-DD3Q>.

⁵⁹ *International Cooperation*, *supra* note 58.

France

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Cosmetics in France are principally regulated by the 2009 European Regulation on Cosmetic Products.¹ The designated competent authority under article 6 of the Regulation on Cosmetic Products is, for France, the Agence nationale de sécurité du médicament et des produits de santé (National Agency for the Safety of Medication and Health Products).²

In addition to the provisions of the European Regulation on Cosmetic Products, the French government has recently adopted a law that prohibits the use of microplastics in certain cosmetics.³ Specifically, this law prohibits the intentional inclusion of a concentration of 0.01% or more of microplastics to rinsable exfoliation or washing cosmetics, and, from January 1, 2027, onwards, to all other rinsable cosmetics.⁴ This prohibition does not apply to natural or biodegradable microplastics.⁵

¹ Regulation (EC) No. 1223/2009 of the European Parliament and of the Council of 30 November 2009 on Cosmetic Products, 2009 O.J. (L 342) 59, <https://perma.cc/ZB36-P5S5>.

² Code de la santé publique, art. L5131-3, <https://perma.cc/NS73-HMVC>.

³ Loi n° 2020-105 du 10 février 2020 relative à la lutte contre le gaspillage et à l'économie circulaire, February 10, 2020, art. 82, <https://perma.cc/JN9H-52UC>.

⁴ Id.

⁵ Id.

Germany

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I. Introduction

The German cosmetics market is the largest in the European Union (EU), according to Cosmetics Europe, the European trade association for the cosmetics and personal care industry.¹ In 2018, it had a sales volume of €13.8 billion (about US\$15.4 billion), followed by France with €11.4 billion (about US\$12.7 billion).² Germany and France were also the largest exporters of cosmetic products from Europe, with a combined volume of 50% of the total €21.5 billion (about US\$24 billion) EU exports in 2018.³

The main legislation in Germany is the EU Cosmetics Regulation, which entered into force on July 11, 2013, and is directly applicable in Germany.⁴ Germany therefore was only allowed to regulate topics that fall outside the scope of the Regulation. Those rules are mainly codified in the German Cosmetics Regulation.⁵

II. German Cosmetics Regulation

Manufacturers who manufacture their cosmetic product in Germany must notify the competent German market surveillance authority of the production location of the cosmetic product prior to placing the product on the market.⁶ Importers must notify the authority of the location where the cosmetic product enters Germany for the first time.⁷ All notifications and labeling of cosmetics products must be in the German language.⁸ Cosmetics products that are not prepackaged, are packaged at the point of sale at the purchaser's request, or are prepackaged for immediate sale, may only be placed on the market if the labeling information appears in an enclosed leaflet or on an attached label, paper tape, tag, or card.⁹ If labeling is impossible, in particular because of the small size of the package or the shape of the cosmetic product, the labeling information must

¹ *Cosmetics and Personal Care Industry Overview*, Cosmetics Europe, <https://perma.cc/6TZH-E4NF>.

² *Id.*

³ *Id.*

⁴ Consolidated Version of the Cosmetics Regulation, 2009 O.J. (L 342) 59, <https://perma.cc/F459-8P67>; Consolidated Version of the Treaty on the Functioning of the European Union [TFEU], art. 288, para. 2, 2016 O.J. (C 202) 1, <https://perma.cc/3W4X-VPFZ>. For the requirements of the EU Cosmetics Regulation, see the EU section in this report.

⁵ Verordnung über kosmetische Mittel [Kosmetik-Verordnung 2014], July 16, 2014, Bundesgesetzblatt [BGBl.] I at 1054, as amended, <https://perma.cc/4HGL-QS9T>.

⁶ *Id.* § 3.

⁷ *Id.*

⁸ *Id.* § 4.

⁹ *Id.* § 5, para. 1.

appear on a sign in immediate proximity to the product or container in which the cosmetic product is exposed for sale.¹⁰ In addition, the cosmetics products must comply with the rules on nominal quantities for prepackaged products codified in the German Regulation on Prepackaged Products.¹¹ There are special rules for aerosol dispensers that contain more than 50 ml.¹²

Lastly, the German Cosmetics Regulation makes certain noncompliance with the EU Cosmetics Regulation a crime or administrative offense, in particular when a cosmetic product placed on the market is unsafe for human health.¹³

¹⁰ Id. § 5, para. 2.

¹¹ Verordnung über Fertigpackungen [Fertigpackungsverordnung] [FertigPackV 1981], Mar. 8, 1994, BGBl. I at 451, 1307, as amended, <https://perma.cc/DW7V-8E4D>.

¹² Dreizehnte Verordnung zum Produktsicherheitsgesetz [Aerosolpackungsverordnung] [13. ProdSV], Sept. 27, 2002, BGBl. I at 3777, 3805), as amended, <https://perma.cc/AA3B-ZTKE>.

¹³ Kosmetik-Verordnung 2014, §§ 8-9 in conjunction with Lebensmittel-, Bedarfsgegenstände- und Futtermittelgesetzbuch [Lebensmittel- und Futtermittelgesetzbuch] [LFGB], June 3, 2013, BGBl. I at 1426, <https://perma.cc/7QQT-HDEU>.

Israel

Ruth Levush
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SUMMARY The production, import, and marketing of cosmetic products require both a general cosmetic license as well as a license for the specific cosmetic product involved under Israeli law. The production and export of a cosmetic product that is intended exclusively for export, however, requires only a general cosmetic license. A license for a specific cosmetic product requires submission of a certificate from the director of the Institute of Standards and Control of Medical Materials, Ministry of Health, indicating that the specific cosmetic product has been tested.

The distribution of a cosmetic product in Israel generally requires that it first be subject to a professional safety assessment and that an updated safety report be prepared in relation to the product's contents and the manner in which the safety assessment was conducted, ways in which it can be updated, and the competency required to perform it. Specific sensitivity tests are required for "dedicated cosmetic products." Cosmetic products may only be stored at a location licensed for manufacturing and marketing cosmetics or at a drug store.

Self-regulation and supervision requirements have been proposed by the Ministry of Health. Adverse event reporting is similarly proposed in draft regulations. The Ministry's website enables online reporting of side effects, though such reporting does not appear to be mandatory as of now. Detailed labeling requirements apply to cosmetic products, including a mandatory duty to identify nanoparticles in the product's ingredients list on the label.

A sharp increase in requests for the export of cosmetic products to the US was reported in 2016-2017, with an increasing number of small cosmetic firms entering the cosmetics and toiletries sector. Small and large companies do not appear to be treated differently in terms of cosmetic regulations.

I. Introduction

A. General Licensing Requirements

Under Israeli law the manufacture, import, export, wholesale storage operation, and distribution of cosmetic products requires a cosmetic license from the Director General of the Ministry of Health or the Director's designee.¹ In accordance with the Pharmacists Ordinance [New Version], 5741-1981, a "cosmetic [product]" means

¹ Pharmacists Ordinance [New Version], 5741-1981, 35 Dine Medinat Israel (New Version) 694 (1981), as amended. (All cited legislation and government documents in this report in Hebrew.)

any substance or mixture of substances intended to come into contact with external parts of the human body, with the sole or primary purpose of cleaning, perfuming, altering its appearance, protecting or preserving it, or enhancing the odors of the body, other than a preparation or medical device; For this purpose, “external part of the human body” [means]– the outer layer of skin, hair, nails, lips, teeth, mucous membranes and externa genitalia.²

A valid cosmetic license may be issued by the Director in accordance with the provisions of the Ordinance and the terms of the license, including instructions and conditions regarding the types of activity and cosmetics to which it applies.³ Accordingly, an applicant must comply with the following requirements:

- Have a business license or permit, including a temporary permit, or approval granted under the Business Licensing Law, 5728-1968,⁴ which concerns cosmetics;
- Employ professionals of the type prescribed by the Minister of Health for the protection of public health and for ensuring the effectiveness of the cosmetic, and its safety and quality;
- Appoint a representative responsible for each type of cosmetic license, unless the cosmetic product is intended to be manufactured or distributed solely for export outside of Israel;
- Be in compliance with the conditions set out in ISO standard 22716 as updated,⁵ or with conditions specified in other international standards or professional guidelines that the Director has found to be at least equivalent to the said standard and which were specified on the Ministry of Health’s (MOH’s) website as such;
- Have the appropriate conditions required for the proper transport and distribution of cosmetics, as prescribed by the Minister of Health, in order to ensure the efficiency, safety, and quality of the cosmetics;
- Not have been convicted or indicted for an offense that, in its essence, severity, or circumstances, makes the applicant unworthy of obtaining a cosmetic license, in the Director General’s opinion.⁶

The issue of a license is also subject to any other conditions set by the MOH, with the approval of the Knesset Welfare and Health Committee, including conditions for protecting public health and ensuring the effectiveness, safety, and quality of cosmetics.⁷

² Id. § 55 A. (Translations from Hebrew here and where relevant below are by author.)

³ Id. § 55 A1.(a).

⁴ Business Licensing Law, 5728-1968, Sefer HaHukim [SH] [Book of Laws (official gazette)] 5728 p. 204.

⁵ ISO 22716:2007, Cosmetics – Good Manufacturing Practices (GMP) – Guidelines on Good Manufacturing Practices, <https://perma.cc/W7GZ-K8DX>.

⁶ Pharmacists Ordinance [New Version], 5741-1981, § 55 A1.(b)(1)-(6).

⁷ Id. § 55 A1.(b)7.

A cosmetic license is valid for a period of five years. The Ordinance prescribes procedures for the issuance and renewal of cosmetic licenses, including relevant dates, particulars, and documents to be included or attached to the application.⁸

B. Licensing of Specific Cosmetic Products

Additional rules on the licensing of cosmetic products are contained in the Commodity and Services Supervision (Cosmetics) Order, 5733-1973, as amended. For purpose of its application, “a cosmetic product” is defined as “any product used or intended to be used for the treatment, beautification, cleaning, coloring, alteration or improvement of the facial skin, body skin, hair, oral cavity, nails or teeth, including other such products.”⁹

Unlike the production, import, and marketing of cosmetic products, which require both a general cosmetic license as well as a license for the specific cosmetic product involved, the production and export of a cosmetic product that is intended exclusively for export requires only a general cosmetic license.¹⁰ The order provides that a cosmetic license may only be issued to a person who holds a license under the Business Licensing Law, 5728-1968¹¹ for a craft or business dealing in cosmetics, or who holds a pharmacy license.¹² Additionally, a license for a specific cosmetic product requires submission of a certificate from the director of the Institute of Standards and Control of Medical Materials within the MOH that the specific cosmetic product has been tested.¹³

C. Regulation of Safety, Labeling, Adverse Event Reporting, and Other Related Topics

The MOH has issued several directives and circulars that address registration of cosmetic facilities, safety reviews, cosmetic labeling, etc. In addition, the MOH has issued a document titled *Guidelines for Proper Manufacturing Procedures for Cosmetics Products* (CGMP) containing recommendations for good practice.¹⁴

The Knesset Labor, Welfare and Health Committee has considered draft regulations, the Pharmacists (Cosmetics) Regulations, 5778-2018, that regulate topics including the distribution of cosmetic products, nano-ingredients in such products, safety reviews, importation, prohibited ingredients, labeling, and adverse event reporting.¹⁵ The Committee has held several meetings to

⁸ Id. § 55 A1.(c)-(d).

⁹ Commodity and Services Supervision (Cosmetics) Order, 5733-1973, Kovetz Hatakanot [KT] [Subsidiary Legislation] 5733 No. 2977 p. 882, as amended, § 1.

¹⁰ Id. § 2.(a1)-(a2).

¹¹ Business Licensing Law, 5728-1968, SH 5728 p. 204.

¹² Commodity and Services Supervision (Cosmetics) Order, 5733-1973, § 2(b).

¹³ Id. § 2(c).

¹⁴ MOH, Guidelines for Proper Manufacturing Procedures for Cosmetics Products (CGMP), <https://perma.cc/MX9C-2JZ6>.

¹⁵ Pharmacists (Cosmetics) Regulations, 5778-2018, <https://perma.cc/MD5M-V4R4>.

discuss the draft regulations, with the last meeting held on March 22, 2018. The regulations, however, were never approved and thus are not in effect.¹⁶

On December 3, 2019, the MOH's cosmetics department published a document (the 2019 document) in response to a request from the Prime Minister's Office and the Director General of the Ministry of Health. The document describes the "principles for the adoption of Swiss cosmetics regulation in Israel with necessary adjustments and includes initial information."¹⁷

The 2019 document proposes to adopt an up-to-date cosmetic regulation in Israel similar to the one applied in Switzerland, with necessary adjustments, to ensure public health, while at the same time attempting to reduce the regulatory burden imposed on cosmetics dealers in Israel. The document provides as follows:

Swiss cosmetics regulation is based on the principle of self-regulation, whereby there exists trust between the regulator and dealers in the industry to carry out the controls and tests required to ensure public health before disseminating the cosmetics in the market and for the duration of the cosmetic's shelf life.

Switzerland is a country where an "island economy" exists. The number of residents in Switzerland is similar to Israel. Despite its geographical location, it is not part of the European Union, with all its regulatory implications. Compared to Israel . . . Switzerland enjoys geographical proximity to continental Europe and the fact that most cosmetics are imported from or exported to Europe. This situation is different from the situation in Israel. . . .

Swiss cosmetics regulation is based on European Regulation (EC) 1223/2009 with some adjustments tailored to the cosmetics market in Switzerland.¹⁸

This report addresses specific aspects of the regulation of cosmetics in Israel based on current law. References to the text of the draft regulations, the CGMP, and the 2019 document are also included, as relevant.

II. Registration of Cosmetics Facilities

Cosmetic products may only be stored at a location licensed for manufacturing and marketing cosmetics or at a drug store. An application form for a general license to store cosmetics is available as an addendum to the Requirements for Granting a General License for Storage and Marketing of Cosmetics, Directive No. 68 (Aug. 2006), issued by the MOH in August 2006.¹⁹

¹⁶ Information received by email from Deena Tzadok, Head of Interparliamentary Research, Knesset Information and Research Center (Jan. 7, 2020).

¹⁷ MOH, Principles for a Model Regulation of Cosmetics in Israel (Dec. 3, 2019), <https://perma.cc/8RV6-2WXE>

¹⁸ *Id.*, Introduction. Note that the cited document uses the term "self-control."

¹⁹ MOH, Requirements for Granting a General License for Storage and Marketing of Cosmetics, Directive No. 68 (Aug. 2006), <https://perma.cc/H5NE-425K>. For a list and links to forms, directives, and procedures regulating various aspects of handling cosmetics, see *Cosmetics*, MOH, <https://perma.cc/T33A-7DSU>.

Directive No. 68 provides the following conditions for operating a cosmetic storage facility:

3.3.1 The size of the warehouse will fit the scope of the activity in it but will not be less than 15 square meters [161.459 feet].

3.3.2 The warehouse should be built and sealed to ensure protection against animals, flies, rodents, or insects.

3.3.3 The walls, ceiling, and floor should be completely cleanable, as well as waterproof.

3.3.4 The shelves should be made of nonabsorbent material and of sufficient height to enable cleaning of the floor and draining fluid.

3.3.5 The mode of storage should ensure the quality of the cosmetics.

3.3.6 The warehouse should be ventilated and illuminated.

3.3.7 The place should be clean and have a controlled temperature not exceeding 30° C. [86° Fahrenheit]. If there is a toilet in the room, the entrance to it will be through a foyer with another door. This room [will have] a sink and water faucet and means for cleaning hands and disposable wipes.²⁰

Directive No. 68 further requires that storage conditions in licensed facilities should meet requirements established by manufacturers. Cosmetics should also be stored separately from any other products, and be prepackaged. Easy access to cosmetics stored in the facility should further be maintained, according to a first-in, first-out (FIFO) method of inventory, or in production-date order. Additionally, packages intended for return or destruction should be separately collected in the designated area and marked accordingly.²¹

The draft regulations would require the Director to determine that an applicant's business meets storage and distribution conditions that are appropriate for cosmetics as a condition of issuance or renewal of a cosmetic license.²² The Director would also be required to ascertain that the production site meets the proper conditions for manufacturing of cosmetics according to ISO standard 22716 as updated, or conditions specified in other international standards or professional guidelines that the Director finds are at least equivalent to the said standard and are specified on the MOH's website as such.²³ The draft regulations suggest, however, that for purposes of renewal of a cosmetic license the Director would be allowed to rely on an approval by an authorized body that the applicant has complied with ISO 22716 without checking the production site itself.²⁴

²⁰ Directive No. 68, *supra* note 19, § 3.3.

²¹ *Id.* § 3.4.

²² Pharmacists (Cosmetics) Regulations, 5778-2018, *supra* note 15, § 5.(a).

²³ *Id.* § 5.(b); Pharmacists Ordinance [New Version], 5741-1981, § 55 A1.(b)(4).

²⁴ Pharmacists (Cosmetics) Regulations, 5778-2018, *supra* note 15, § 5.(b).

III. Safety Review and Substantiation Standards

A. Safety Review and Testing

In accordance with the Pharmacists Ordinance, a cosmetic dealer may not distribute a cosmetic product in Israel unless it has been subjected to a professional safety assessment and an updated safety report has been prepared in relation to the content and manner of conducting the safety assessment, ways in which it can be updated, and the competency required to perform it.²⁵

The Grant of a Cosmetic License according to the Commodity and Services Supervision (Cosmetics) Order 5733-1973, Directive No. 2 (May 1999), distinguishes between a dedicated cosmetic and a regular cosmetic product. A dedicated cosmetic product is one that is “designed for a defined purpose after demonstrating its safety and suitability for its purpose.”²⁶ A regular cosmetic product is one that is not a dedicated cosmetic, the components of which are examined only from a safety aspect.²⁷

According to the MOH website,

[a] [r]egular cosmetic product [is a] substance intended to come in contact with the external parts of the human body in order to clean, scent or beautify it, change its appearance, protect or guard it, or improve body odors. All products intended for use on hair, nails, teeth and oral orifice are included under this definition.²⁸

A dedicated cosmetic is described as one of the following products:

- Intended for lightening the skin, protecting from UV rays, preventing sweat (antiperspirant), wrinkle treatment, slowing down skin aging, or treating dandruff;
- Gets into contact with the external genitalia, body mucus or oral cavity;
- Hypoallergenic or designed for sensitive skin;
- Noncomedogenic – does not lead to blocking of the pores
- Tear-free
- Containing ingredients from living organisms, microorganisms or through biotechnology process.²⁹

An application for a dedicated cosmetic license must be submitted to the MOH's pharmacy division and include testing results performed by one of the recognized laboratories listed in Directive No. 2.³⁰

²⁵ Pharmacists Ordinance [New Version], 5741-1981 § 55A10.

²⁶ MOH, Grant of a Cosmetic License according to the Commodity and Services Supervision (Cosmetics) Order 5733-1973, Directive No. 2 (May 1999), § 1, <https://perma.cc/85L3-HM55>.

²⁷ Id.

²⁸ *Cosmetics*, MOH, <https://perma.cc/76N7-TBSU>.

²⁹ Directive No. 2, *supra* note 26, § 2.

³⁰ Id. §§ 4.1.3.5 & 5.1.3.4.

Details about the tests that are required for registration and licensing are contained in a circular issued by the MOH on May 1, 2009, entitled “Procedure for Registration and Licensing – Appendices 1,3,4, Circular Tm_2_124.”³¹ Accordingly,

[m]icrobial load^[32] is required from all cosmetics (except nail varnish), except when reasons justifying exemption from this test were received. The upper limit shall not exceed 1000 per gram of product. In cosmetics for use in the eye area and in infants, no more than 500 microorganisms are allowed per gram product. In any case, a count of less than 1000 grams per product requires testing to exclude the presence of pathogens.³³

Additionally, pH testing is required for ointments and creams, solutions, emulsions, detergents, gels, and pencils. Stability at 40°C (104°F) for a period of 14 days is further required for all these categories of products as well as nail polish. In alcoholic solutions the methanol concentration should not exceed 0.2%. The circular includes additional detailed requirements for testing irritation levels.³⁴

The circular provides the following list of tests required for cosmetic products according to their objectives. Proof of the objective of dedicated cosmetics are determined in accordance with appropriate protocols, such as the following:

1. Sun protection factor SPF according to the protocol of FDA or COLIPA.
2. Hypoallergenic: according to protocol of repeat-insult patch test.
3. Tears free cosmetic: according to protocol approved by the Ministry of Health.
4. Lead residue: In toothpastes containing calcium carbonate CaCO₃.

The performance of sensitivity tests for cosmetic products is further regulated under circular Tm_18071999 issued by the MOH in July 1999. Testing for sensitivity must take place in hospitals, clinics, or dermatology units under the supervision of a specialized dermatologist. The test results must be attached to the application for registration of the cosmetic product. Circular Tm_18071999 further establishes the criteria for including candidates in the test, rules of participants’ behavior, and rules of testing, among others.³⁵

B. Self- Regulation and Supervision

As noted above, the December 2019 document issued by the MOH proposes a regulatory model similar to the Swiss model, which the document views as based on the principle of self-

³¹ Procedure for Registration and Licensing – Appendices 1, 3, 4, App. 1, Circular Tm_2_124 (May 1, 1999), <https://perma.cc/6JPH-WNUS>.

³² “Microbial load” refers to the number and type of microorganisms contaminating an object or organism. See, e.g., *Microbial Load, Definition*, National Agricultural Library, US Department of Agriculture, <https://perma.cc/JEA6-HBJT>.

³³ Circular Tm_2_124, *supra* note 31.

³⁴ *Id.*

³⁵ Israel Ministry of Health, Procedure for Human Testing for Raw Material/Cosmetics for the Possibility of Causing Skin Irritation (Sensitivity Test), Circular No. Tm_18071999 (July 18, 1999), <https://perma.cc/R5BW-4PBS>.

regulation.³⁶ Among the responsibilities of cosmetics manufacturers, distributors, importers, and exporters (cosmetics dealers) is the duty to implement self-regulation in connection with the safety risks of cosmetic products and the volume of production.³⁷ Cosmetic dealers must ensure the participation of appropriate professionals in conducting self-control and carry out self-control activities by taking samples and conducting laboratory tests (themselves or through third parties), among other measures.³⁸

In addition to regular supervision that must be undertaken by manufacturers and importers to ensure that a cosmetic product is safe for use and that its quality and effectiveness have not been impacted, the document requires special attention to “cosmetics under strict standards,” listed as one of the following: sun protection products, cosmetics intended for infants and children up to the age of 12, cosmetics intended for the eyes or oral cavity, cosmetics for pregnant or lactating women, and cosmetics containing nanoparticles.³⁹

IV. Adverse Event Reporting

The proposed Pharmacists (Cosmetics) Regulations, 5778-2018, would require the manufacturer, importer, or their representative who has learned of any serious side effect resulting from the use of a cosmetic product manufactured or imported, or for which they are responsible, to immediately notify the Director. The notice would contain the following details:

- 1) The name of the cosmetic product and information that allows its specific identification;
- 2) Information about all serious side effects known to him/her about the product, as well as about any side effects that are not serious but appear in high prevalence;
- 3) Details of the measures taken regarding these side effects.

The Director may use the information . . . for the purpose of protection of public health.⁴⁰

Similar provisions are proposed in the 2019 document. Accordingly, any manufacturer, importer, exporter, or wholesaler of cosmetic products (cosmetic dealer) who has a reasonable concern that a product may cause injury or damage to a person or serious side effects would immediately need to take measures to prevent its distribution by withdrawing it from the market or by recall. The product would be held in a location exclusively under the control of the cosmetic dealer, who would immediately report to the Director the concern about the adverse event or side effect, the scope of the problem, and the measures taken to prevent the product’s distribution and marketing.⁴¹

³⁶ See Part I(C), above, referencing Principles for a Model Regulation of Cosmetics in Israel, *supra* note 17.

³⁷ Principles for a Model Regulation of Cosmetics in Israel, *supra* note 17, §§ 3.1-3.2.

³⁸ *Id.* § 3.6.

³⁹ *Id.* § 6.1-6.2.

⁴⁰ Pharmacists (Cosmetics) Regulations, 5778-2018, *supra* note 15, § 59.

⁴¹ Principles for a Model Regulation of Cosmetics in Israel, *supra* note 17, § 3.10.1.

The 2019 document further suggests that a cosmetic dealer would also need to document all complaints about existing or potential damage to a person's health in relation to any product the dealer has produced, imported, or sold. Documentation would need to be held for a minimum period of ten years from the date of receipt of any complaint.⁴²

The MOH website currently enables reporting of side effects and drug-related adverse events by filling out a report form.⁴³

V. Cosmetics Labeling

The Commodity and Services Supervision (Cosmetics) Order, 5733-1973 requires each cosmetic or container containing a cosmetic product to be labeled. The label must include the following cosmetic product details: name of the product; the manufacturer's name and address; if imported, the importer's name and address; the quantity in decimal measurements; a list of ingredients; the date of manufacture in a secret mark; instructions for use and cautions; and a notation of the sun protection level where relevant, as prescribed by the MHDG.⁴⁴ A detailed list of requirements associated with these and additional labeling information is provided by the 1999 circular and include the following:

- A list of ingredients in decreasing quantitative order according to the International Nomenclature of Cosmetic Ingredients – INCI⁴⁵
- The date of manufacture of the cosmetic or its identification code
- Instructions for use and warnings as prescribed in the license
- Cosmetic license number⁴⁶
- In designated cosmetics, the notation “approved use objectives” must be placed under the license number, followed by a list of the objectives approved in the license
- When the cosmetic product is in a capsule or ampoule it must be labeled “For external use only” and “keep away from children.”⁴⁷

Special warnings labels must be attached to cosmetic products containing acetone.⁴⁸

⁴² Id. § 3.10.2.

⁴³ *Reporting Side Effects and Drug-Related Adverse Events*, MOH, <https://perma.cc/N6BB-ULE3>.

⁴⁴ Commodity and Services Supervision (Cosmetics) Order, 5733-1973, KT 5733 No. 2977 p. 882, as amended, § 13.(a)(1).

⁴⁵ See *International Nomenclature of Cosmetic Ingredients (INCI)*, Chemical Inspection and Regulation Service, <https://perma.cc/QU9P-72BS>.

⁴⁶ Appears to apply to manufacturers' and importers' licenses.

⁴⁷ Issue of a Cosmetic License According to the Commodity and Services Supervision (Cosmetics) Order 5733-1973, Circular No. 2 (May 1999), § 3(1).

⁴⁸ MOH, Marking Acetone-Containing Cosmetics, Circular Tm_10082003 (Aug. 10, 2003), <https://perma.cc/MU4Z-XA6L>.

In Israel it is mandatory to mark nanoparticles in the product's ingredients on the label. An nanoparticle would be labeled "NANO" next to the name of the ingredient.⁴⁹

VI. Good Manufacturing Practices

As noted above, the MOH published the Guidelines for Proper Manufacturing Procedures for Cosmetics Products (CGMP) on June 1, 2003. The Guidelines merely constitute recommendations for good practice; they are not mandatory.⁵⁰

The CGMP provides for recording and maintaining batches of raw materials, and for packaging of materials, bulk products, and finished products that have passed inspection. Among other things, the CGMP proposes ways by which control laboratories may help production departments and sets detailed procedures for other aspects of quality control.⁵¹

VII. How Small Cosmetic Firms are Treated Differently than Larger Firms

The Israeli cosmetics industry is reportedly characterized by the growth of new, small factories alongside the large and established factories.⁵² No difference in treatment of small cosmetic firms versus large ones was identified.

VIII. Cosmetics Imported into the US

A sharp increase in requests for the export of cosmetic products was reported by the Export Institute in 2017, with 33% of all cosmetics exported to the US, an increase of 16% from 2016 to 2017.⁵³

⁴⁹ *Cosmetics Containing Nano-Particles*, MOH, <https://perma.cc/JSB2-45XN>.

⁵⁰ MOH, *Guidelines for Proper Manufacturing Procedures for Cosmetics Products (CGMP)*, <https://perma.cc/MX9C-2JZ6>.

⁵¹ *Id.*

⁵² Oren Majar, *Sales Volume of Cosmetics Manufacturers: \$1 Billion*, *The Marker* (Mar. 19, 2013), <https://perma.cc/X44L-6PFV>.

⁵³ Export Institute, *Export of Cosmetics and Toiletries 4*, <https://perma.cc/6Z5T-VZ86>.

Japan

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SUMMARY Japan's Pharmaceuticals and Medical Devices Act regulates "beauty products." Most beauty products are classified as either quasi-pharmaceutical products or cosmetics under the Act, and regulated according to that classification. Manufacturers and marketers of quasi-pharmaceutical products and cosmetics must obtain licenses in order to operate. A person who intends to market quasi-pharmaceutical products or certain cosmetics must obtain government approval for each individual product. Adverse events must be reported. The Act also sets labeling requirements. In principle, all components included in cosmetics must be listed.

I. Cosmetics and Quasi-Pharmaceutical Products

Japanese cosmetics are regulated under the Act on Securing Quality, Efficacy and Safety of Products including Pharmaceuticals and Medical Devices (Pharmaceuticals and Medical Devices Act).¹ The term "cosmetic products" (beauty products) may include "cosmetics" and "quasi-pharmaceutical products" (medicated beauty products), and possibly some "pharmaceuticals," such as severe dry-skin treatment creams. This report focuses on "cosmetics" and "quasi-pharmaceutical products."

The Act uses the term "cosmetics" to refer to items that are intended to be used on the human body by rubbing, sprinkling, or other similar means, aiming to clean and beautify it, increase one's attractiveness, alter one's appearance, or keep the skin or hair in good condition, and that have mild effects on the human body.² This term excludes pharmaceuticals if they are used in the diagnosis, treatment, or prevention of disease in humans or animals, or to affect the structure and functioning of a human or animal's body, even if those pharmaceuticals have the same purpose as cosmetics.³

Medicated cosmetic products fall into the category of quasi-pharmaceutical products. Quasi-pharmaceutical products are those that have mild effects on the human body and, according to the Pharmaceuticals and Medical Devices Act, may be used to prevent nausea, other discomfort, bad breath, hair loss, heat rash, skin sores, and similar symptoms. They may also be used for promoting hair growth or for hair removal, among other things. Products that are used for the diagnosis, treatment, or prevention of disease in humans or animals, or to affect the structure and functioning of a human's or animal's body, are classified as pharmaceutical products. However,

¹ Act on Securing Quality, Efficacy and Safety of Products including Pharmaceuticals and Medical Devices (Pharmaceuticals and Medical Devices Act), Act No. 145 of 1960, amended by Act No. 108 of 2016, <https://perma.cc/KD62-3N49> (translation as amended by Act No. 50 of 2015).

² Id. art. 2, para. 3.

³ Id.

under some circumstances, the Ministry of Health, Labour and Welfare (MHLW) may designate these products as quasi-pharmaceutical products.⁴

II. Licenses

In addition to compulsory marketing approvals (See Part III, below.), the following licenses and/or accreditation are also required when a marketer seeks to obtain an approval for a product to be marketed.

A. License for Manufacturing

To engage in the business of manufacturing quasi-pharmaceutical products or cosmetics, a person must obtain from the MHLW a license for manufacturing quasi-pharmaceutical products or cosmetics for each manufacturing facility.⁵ The license expires in five years but is renewable.⁶ The MHLW may not grant a license when the structure and equipment of the manufacturing facility do not comply with established standards under the Ministry Ordinance⁷ or when the applicant is not qualified because of a record of violation of the Act in the past, among other things.⁸ For example, the facility standards for manufacturers of general quasi-pharmaceutical products requires, among other things, appropriate space, lighting, and ventilation for the manufacturing facility. The facility must also have equipment or instruments for the prevention of dust accumulation and the intrusion of insects and mice, wastewater treatment, and sanitizing workers. The separate requirements under the facility standards apply to the work space used for weighing raw materials, preparing pharmaceuticals, and filling containers.⁹ While the MHLW is authorized to conduct an investigation into whether manufacturing facilities are in compliance with the standards, it may delegate these investigations to the Pharmaceuticals and Medical Devices Agency (PMDA).¹⁰

In case of foreign manufacturers intending to export their quasi-pharmaceutical products or cosmetics to Japan, instead of the license, they must obtain accreditation for each manufacturing facility outside Japan in accordance with the same facility and qualification standards for domestic manufacturers.¹¹

⁴ Id. art. 2, para. 2.

⁵ Id. art. 13, paras. 1 & 2.

⁶ Id. art. 13, para. 3; Enforcement Order of Pharmaceuticals and Medical Devices Act, Cabinet Order No. 11 of 1961, amended by Cabinet Order No. 362 of 2018, art. 10, <https://perma.cc/U7K3-LVZ7>.

⁷ 薬局等構造設備規則 [Regulations for Buildings and Facilities of Pharmacies, etc.], Ministry of Health and Welfare (MHW) Ordinance No. 2 of 1961, amended by MHLW Ordinance No. 107 of 2017, <https://perma.cc/QT8E-DCXJ> (unofficial translation as of Sept. 9, 2005).

⁸ Pharmaceuticals and Medical Devices Act art. 13, paras. 4 & 5.

⁹ 薬局等構造設備規則 [Regulation for Structure and Equipment of Pharmacy and Others], MHW Ordinance No. 2 of 1961, amended by MHLW Ordinance No. 107 of 2017, art. 12, <https://perma.cc/67P4-WP8E>.

¹⁰ Id. art. 13-2, para. 1.

¹¹ Id. art. 13-3.

B. License for Marketing Business

A person who manufactures or imports and sells quasi-pharmaceutical products or cosmetics must obtain a license from the MHLW.¹² The license expires in five years but is renewable.¹³ The MHLW may deny a license if

- the methods for quality control for quasi-pharmaceutical products or cosmetics pertaining to the application do not comply with the standards established by MHLW ordinance;¹⁴
- the methods for post-marketing safety control¹⁵ for quasi-pharmaceutical products or cosmetics pertaining to the application do not comply with the standards under a MHLW ordinance;¹⁶ or
- the applicant is not qualified because of a record of violation of the Act in the past, among other reasons.¹⁷

The Minister of MHLW has delegated the authority to issue manufacturing business licenses to the prefecture governors.¹⁸

C. Good Manufacturing Practices

The Japan Cosmetic Industry Association (JCIS) had established Cosmetics Good Manufacturing Practices (GMP) in 1981.¹⁹ After the International Organization for Standardization (ISO) established its Cosmetics GMP (ISO 22716) in 2007, the JCIS decided to adopt it as its self-imposed

¹² Id. art. 12, para 1.

¹³ Id. art. 12, para. 2.

¹⁴ 医薬品、医薬部外品、化粧品及び再生医療等製品の品質管理の基準に関する省令 [Ministerial Ordinance on Standards for Quality Assurance for Drugs, Quasi-drugs, Cosmetics and Medical Devices], MHLW Ordinance No. 136 of 2004, amended by MHLW Ordinance No. 87 of 2014, <https://perma.cc/RXD6-MX64> (unofficial translation as of Sept. 9, 2005).

¹⁵ "Post-marketing safety control" refers to collecting and reviewing matters related to the qualities, efficacy, safety, and other information necessary for the appropriate use of the product, and necessary measures based on the results of that review. Pharmaceuticals and Medical Devices Act art. 12-2, item 2.

¹⁶ 医薬品、医薬部外品、化粧品、医療機器及び再生医療等製品の製造販売後安全管理の基準に関する省令 [Ministerial Ordinance on Standards for Post-Sales Safety Assurance for Drugs, Quasi-drugs, Cosmetics and Medical Devices], MHLW Ordinance No. 135 of 2004, amended by MHLW Ordinance No. 124 of 2017, <https://perma.cc/UCQ6-JDY8>.

¹⁷ Pharmaceuticals and Medical Devices Act art. 12-2.

¹⁸ Id. art. 12; Enforcement Order of Pharmaceuticals and Medical Devices Act, *supra* note 6, art. 80, para. 1, item 1. See also 医薬部外品の製造販売手順について [Regarding Proceeding of Marketing Business of Quasi-Pharmaceutical Products], PMDA, <https://perma.cc/7LP2-C2A6>.

¹⁹ 化粧品GMPガイドラインについて [Regarding Cosmetics GMP Guidelines], Kyoto Prefecture (2008), <https://perma.cc/5BEH-WKX7>.

rule.²⁰ The MHLW issued a notice that informed prefectures that the JCIS had changed its GMP rule in 2008,²¹ following discussions between the JCIS and the MHLW.²²

III. Marketing Approvals and Safety Standards for Individual Products

A person who intends to market quasi-pharmaceutical products, other than some products subject to MHLW exceptions²³ or cosmetics containing components specified by the MHLW, must obtain MHLW approval for each type of product.²⁴ In principle, all components must be listed on cosmetics labels (see Part VI(B)), except for those that are exempt from required listing by the MHLW. This happens if a manufacturer does not wish to reveal certain components and lists them as “others.” For example, when the component is newly invented, the manufacturer may not wish to reveal it. In such a case, a marketer of the cosmetic must obtain marketing approval from the MHLW.²⁵ If cosmetics do not have such components, the marketer is only required to report the types of products to the MHLW before placing them on the market.²⁶

An applicant for the approval must submit with their written application data concerning the results of clinical studies and other pertinent data, pursuant to the provisions of an MHLW ordinance.²⁷ The application must be submitted through the PMDA.²⁸ The MHLW will deny marketing approval in the following cases:

- Where an applicant fails to obtain the proper marketing business license²⁹
- Where the manufacturing facility for the item does not receive the proper license or accreditation for manufacturing³⁰

²⁰ 安全への取り組み [*Efforts for Safety*], JCIA, <https://perma.cc/YSH2-BS9H>.

²¹ 化粧品の製造及び品質管理に関する技術指針（業界自主基準）の廃止について, MHLW 薬食監麻発 No. 625002 (June 25, 2008), <https://perma.cc/9C4G-CA8G>.

²² *Id.*

²³ 承認不要医薬部外品基準 [Standards for Quasi-Pharmaceuticals Not Being Required for Approvals], MHW Notification No. 54 (Mar. 24, 1997), <https://perma.cc/F9E4-7597>. For example, cleansing pads for medical use are excepted.

²⁴ Pharmaceuticals and Medical Devices Act art. 14, para. 1.

²⁵ 化粧品規制緩和に係る薬事法施行規則の一部改正等について, 医薬発 No. 990 (Sept. 29, 2000), <https://perma.cc/28GR-R9MH>. See also 薬事医療法制研究会, やさしい医薬品医療機器等法, at 297 (2015), bibliographic information at <https://lccn.loc.gov/2016469771>.

²⁶ 医薬発 No. 990, *supra* note 25.

²⁷ Pharmaceuticals and Medical Devices Act art. 14, para. 3.

²⁸ *Id.* art. 14, para. 11.

²⁹ *Id.* art. 14, para. 2, item 1

³⁰ *Id.* art. 14, para. 2, item 2.

- Where an examination reveals that the quasi-pharmaceutical product does not have the efficacy or effects indicated in the application, or that its harmful effects outweigh the efficacy or effects³¹
- Where the quasi-pharmaceutical product or cosmetic falls under the cases described by MHLW ordinance as not being an appropriate product³² in view of the health and hygiene concerns related to its properties or qualities³³

The MHLW has issued specific standards for the marketing approval of hair coloring agents,³⁴ permanent wave agents,³⁵ and bath additives.³⁶

In addition, in the case of quasi-pharmaceutical products or cosmetics specified in Cabinet orders, the methods used to control the manufacturing process and quality of the product at the manufacturing facility must comply with the standards specified by MHLW Ordinance.³⁷

The Minister of MHLW has delegated the authority to issue marketing approvals of specified quasi-pharmaceutical products to the prefecture governors.³⁸

IV. Standards for Properties, Quality Criteria, and Performance, and Prohibition of Sales

The Pharmaceuticals and Medical Devices Act also states that, when necessary in order to prevent a hazard to health and hygiene, the MHLW may establish standards for the properties, quality criteria, and performance of quasi-pharmaceutical products or cosmetics,³⁹ after consulting with the Pharmaceutical Affairs and Food Sanitation Council (PAFSC).⁴⁰ Based on this provision, the

³¹ Id. art. 14, para. 2, item 3, a & b.

³² Id. art. 14, para. 2, items 1-3.

³³ 医薬品、医療機器等の品質、有効性及び安全性の確保等に関する法律施行規則 [Pharmaceuticals and Medical Devices Act Enforcement Ordinance], MHLW Ordinance No. 1 of 1961, amended by MHLW Ordinance No. 49 of 2019, art. 39, <https://perma.cc/4LAE-S9RK>.

³⁴ Standards for Marketing Approval of Hair Coloring Agents, MHLW Notice 薬食発 0325 第 33 号 (PFSB No. 0325-33) (Mar. 25, 2015), <https://perma.cc/YU9A-ZKD5>.

³⁵ Standards for Marketing Approval of Permanent Wave Agents, MHLW Notice 薬食発 0325 第 35 号 (PFSB No. 0325-35) (Mar. 25, 2015, revised Apr. 1, 2017), <https://perma.cc/KJ54-MGDK>.

³⁶ Standards for Marketing Approval of Bath Additives, MHLW Notice 薬食発 0325 第 39 号 (PFSB No. 0325-39) (Mar. 25, 2015), <https://perma.cc/GTF2-RDH8>.

³⁷ Pharmaceuticals and Medical Devices Act art. 14, para. 2, item 4.

³⁸ Id. art. 12; Enforcement Order of Pharmaceuticals and Medical Devices Act, *supra* note 6, art. 80, para. 1, item 1. See also 医薬部外品製造販売承認申請時の手順と注意点 [Steps and Notes for Quasi-pharmaceutical Products Marketing Approval], Bureau of Social Welfare and Public Health, Tokyo Metropolitan Government, <https://perma.cc/PAT2-SQ2N>.

³⁹ Pharmaceuticals and Medical Devices Act art. 42, para. 2.

⁴⁰ The Pharmaceutical Affairs and Food Sanitation Council serves as an advisory body to the MHLW, and reviews and discusses important pharmaceutical and food sanitation-related matters. Japan Pharmaceutical

MHLW has established the Standards for Cosmetics. The Standards for Cosmetics list components that are prohibited for use in cosmetics or where only limited quantities may be used.⁴¹ Cosmetics that do not meet the Standards cannot be sold.⁴²

In addition, the Pharmaceuticals and Medical Devices Act prohibits the sale of quasi-pharmaceutical products or cosmetics that

- are subject to approval and whose components or quantities, properties, qualities, or performance are different from those approved;
- are completely or partially unclean, putrid, or decomposing;
- contain or have foreign substances attached to them;
- are contaminated or suspected of containing pathogens or other disease agents; or
- contain a coal-tar color other than the coal-tar color specified by MHLW ordinance for the sole purpose of coloring.⁴³

V. Supervision and Adverse Event Reporting

The Minister of MHLW or the prefectural governor may inspect marketing approval holders or manufacturers of quasi-pharmaceutical product or cosmetics to confirm whether Pharmaceuticals and Medical Devices Act regulations are being observed. The Minister or the governor may require necessary reports or send an officer to the factory, office, or other place of business to inspect the structure and equipment of the facility; its books and documents, among other articles; or question employees and other concerned persons.⁴⁴ The Minister or the governor may assign such inspections to the PMDA.⁴⁵

If necessary to prevent the occurrence or spread of health and hygiene hazards caused by the use of quasi-pharmaceutical products or cosmetics, the Minister may order marketing approval holders, manufacturers, or dealers of such products to temporarily suspend selling or providing them, or take other emergency measures to prevent the occurrence or spread of such hazards.⁴⁶

When the holders of marketing approval for quasi-pharmaceutical products and cosmetics learn of the occurrence or spread of health and hygiene hazards suspected to be caused by using their products, they must dispose of, recall, discontinue selling, and provide information on such

Manufacturers Association, *Pharmaceutical Administration and Regulations in Japan* 5 (2015), <https://perma.cc/KBC7-R4UX>.

⁴¹ Standards for Cosmetics, MHW Notification No. 331 of 2000, <https://perma.cc/S929-XZ2Y> (provisional translation).

⁴² Pharmaceuticals and Medical Devices Act art. 56, item 5 & art. 62.

⁴³ Id. arts. 56, 60 & 62.

⁴⁴ Id. art. 69.

⁴⁵ Id. art. 69-2.

⁴⁶ Id. art. 69-3.

products, and take other necessary measures for the prevention of the occurrence or spread of these hazards.⁴⁷ In such cases, the Pharmaceuticals and Medical Devices Act obligates proprietors of pharmacies, hospitals, or clinics; other dealers of quasi-pharmaceutical products or cosmetics; and physicians, dentists, or other medical professionals to make efforts to cooperate in carrying out the necessary measures.⁴⁸

When the holders of marketing approval for quasi-pharmaceutical products or cosmetics learn of the occurrence of any disease, disability, or death suspected to be caused by the side effects of their products, or other matters concerning the efficacy and safety of the products, they must report these issues to the MHLW.⁴⁹ The same reporting obligation is imposed on proprietors of pharmacies, hospitals, or clinics, and on physicians, dentists, pharmacists, registered sales clerks, and other medical professionals.⁵⁰ Reporting to the MHLW is also required with regard to recalls of quasi-pharmaceutical products or cosmetics.⁵¹

The Minister of MHLW informs the PAFSC of the status of reports of the side effects and recalls each fiscal year. When the Minister finds it necessary, and after consulting with the PAFSC, the Minister may take necessary measures to prevent the occurrence or spread of health and hygiene hazards caused by the use of quasi-pharmaceutical products or cosmetics.⁵²

VI. Labeling

The Pharmaceuticals and Medical Devices Act requires that the package inserts, containers, or capsules for quasi-pharmaceutical products and cosmetics must include information on the proper dosage, administration, and other necessary care for use and handling.⁵³ This information must be placed at a readily visible location and be precisely written in easily understandable terms so that a general consumer or user of the product may easily read and understand it.⁵⁴ False or misleading statements and unapproved statements of efficacy or performance are prohibited on product labels.⁵⁵

The Pharmaceuticals and Medical Devices Act provides for additional labeling requirements according to product type, as outlined below.

⁴⁷ Id. art. 68-9, para. 1.

⁴⁸ Id. art. 68-9, para. 2.

⁴⁹ Id. art. 68-10, para. 1.

⁵⁰ Id. art. 68-10, para. 2.

⁵¹ Id. art. 68-11.

⁵² Id. art. 68-12, para. 1.

⁵³ Id. art. 52 para. 1 & arts. 60, 62.

⁵⁴ Id. arts. 53, 60 & 62.

⁵⁵ Id. arts. 54, 60 & 62.

A. Quasi-Pharmaceutical Products

Labels on quasi-pharmaceutical products must include the following:

- Name and address of the marketing approval holder
- The words “quasi-pharmaceutical products”
- Name of product (in cases where a nonproprietary name is available, then such nonproprietary name)
- Manufacturing number and code
- The quantity of the contents in terms of weight, volume, number, etc.
- Names of the active components for quasi-pharmaceutical products designated by the MHLW (in cases where a nonproprietary name is available, then such nonproprietary name) and the quantity of such components
- For a quasi-pharmaceutical product containing components designated by the MHLW,⁵⁶ the names of the components
- For quasi-pharmaceutical products designated by the MHLW,⁵⁷ the expiry date
- For quasi-pharmaceutical products subject to specific standards, information that is required to be printed on the actual container or capsule by those standards
- Other information specified by an MHLW ordinance⁵⁸

The package inserts, container, or capsule should also include information about dosage, administration, and other necessary care for the use and handling of the product.⁵⁹

⁵⁶ 医薬品、医療機器等の品質、有効性及び安全性の確保等に関する法律第五十九条第八号及び第六十一条第四号の規定に基づき名称を記載しなければならないものとして厚生労働大臣の指定する医薬部外品及び化粧品成分 [Components of Quasi-pharmaceutical Products and Cosmetics Designated by the MHLW as Required to State Names Based on article 59, item 8 and article 61, item 4 of the Pharmaceuticals and Medical Devices Act], MHW Notification No. 332 (Sept. 22, 2000), amended by MHLW Notification No. 439 of 2014, <https://perma.cc/KL73-FRB7>.

⁵⁷ 医薬品、医療機器等の品質、有効性及び安全性の確保等に関する法律第五十条第十四号等の規定に基づき使用の期限を記載しなければならない医薬品等 [Pharmaceuticals and Others that Are Obligated to State the Expiry Dates Based on article 50, item 14 and Other Provisions of the Pharmaceuticals and Medical Devices Act], MHW Notification No. 166 (Sept. 26, 1980), amended by MHLW Notification No. 439 of 2014, <https://perma.cc/GAR4-T74S>.

⁵⁸ Pharmaceuticals and Medical Devices Act art. 59.

⁵⁹ Id. arts. 52 & 60.

B. Cosmetics

Cosmetics labels must indicate the following:

- Name or address of the marketing approval holder
- Name of the product
- The manufacturing number or manufacturing code
- Names of all components if they are designated by the MHLW
- The expiry date for cosmetics designated by the MHLW
- Any additional information required for cosmetics that have standards specified in the Cosmetics Standards
- Other matters specified by MHLW Ordinance⁶⁰

This information should be displayed on the actual container or wrapper for the cosmetics.

⁶⁰ Id. art. 61.

Sweden

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SUMMARY Sweden, as a European Union (EU) member state, is bound by EU regulation of cosmetics. In addition to the EU rules, Sweden has also adopted a ban on rinsable cosmetics that contain added microplastics.

I. Applicable Law

A. European Union Legislation

As a member of the European Union (EU), Sweden is bound by EU law on cosmetics (see EU report),¹ specifically Regulation 1233/2009 on cosmetic products as well as Regulation 1907/2006 concerning the registration, evaluation, authorization, and restriction of chemicals (REACH regulation).² The purpose of the EU regulation is to establish “rules to be complied with by any cosmetic product made available on the market, in order to ensure the functioning of the internal market and a high level of protection of human health.”³ Although directly applicable under Swedish law, the EU regulation has been transposed into Swedish law in Sweden’s own cosmetic products regulation (Förordning om kosmetiska produkter).⁴ The Läkemedelsverket (Swedish Medical Products Agency), as well as the local municipalities, are responsible for ensuring compliance.⁵ In accordance with Swedish law, the Swedish Medical Products Agency must aid the local municipalities in their review of compliance.⁶

B. National Labeling Requirements and Ban on Microplastics in Cosmetics

Sweden imposes requirements in addition to the EU regulation, namely, that the cosmetic products must be furnished with Swedish labels when sold to end-users in Sweden.⁷

¹ Regulation (EC) No 1223/2009 of the European Parliament and of the Council of 30 November 2009 on Cosmetic Products (recast) (Text with EEA Relevance), 2009 O.J. (L 342) 59, <https://perma.cc/GB53-GX82>; Consolidated Version of REACH, 2006 O.J. (L 396) 1, <https://perma.cc/YBX2-HY95>. For an overview of Swedish Cosmetics legislation (in Swedish) see *Kosmetikalongstiftningen*, Läkemedelsverket, <https://perma.cc/HFK2-N5KU>.

² Regulation (EC) No 1223/2009.

³ Id. art. 1.

⁴ Förordning (2013:413) om kosmetiska produkter, <https://perma.cc/N5MH-VJ49>.

⁵ Id. §§ 9, 15.

⁶ 3 kap. 7.2 §; 2 kap. 31.5 §§ Miljötillsynsförordningen (2011:132), <https://perma.cc/C7XD-L5KB>. For examples of reports meant to guide local municipalities, see *Barnkoll 2016 – Ett samverkansprojekt med kommunerna*, Läkemedelsverket, <https://perma.cc/JZN2-VRE8>.

⁷ 4 § Förordning (2013:413) om kosmetiska produkter; see also *Kosmetiska produkter*, Läkemedelsverket, <https://lakemedelsverket.se/malgrupp/Foretag/Kosmetika/>.

Sweden in 2018 introduced a national ban on microplastics in cosmetic products.⁸ The purpose of the ban is to limit the amount of microplastics in seas and lakes.⁹ Specifically, the ban forbids marketing a cosmetic product for use on skin, hair, mucous membranes, or teeth that contains plastic particles for a cleaning, exfoliating, or polishing effect and which is intended to be rinsed off or spit out after use.¹⁰

The Swedish government also plans to work towards more general International Organization for Standardization standards for microplastics,¹¹ as well as lobby the EU to adopt an EU-wide ban on microplastics in cosmetics.¹²

C. Regional (Municipal) Production Requirements

In addition to the EU rules, under Swedish law, local municipalities in Sweden may adopt more stringent rules pertaining to the environmental demands of production that take place in the municipality.¹³ Examples of local rules include requirements on how to store chemicals, sewage issues, and waste management.¹⁴

D. Rules on Cosmetic Waste

The deposit of waste in general in Sweden is regulated by the Waste Regulation (Avfallsförordning), and cosmetic waste is classed with wastes from the manufacture, formulation, distribution and use of greases, lubricants, soaps, detergents, and disinfectants. As such, it must be labeled with the code 07 06.¹⁵ In an effort to ensure that its users deposit their waste in a legal manner, cosmetics vendor Kicks has initiated a project whereby consumers may return the used product to the store for final disposal by the retailer.¹⁶

⁸ 4 a § Förordning (1998:944) om förbud m.m. i vissa fall i samband med hantering, införsel och utförsel av kemiska produkter, <https://perma.cc/DQZ8-J6GX> (adopted through SFS 2018:55). See also Kemikalieinspektionen, *Mikroplast i kosmetiska produkter och andra kemiska produkter Rapport från ett regeringsuppdrag 2/18 59* (2018), <https://perma.cc/RP2R-MLSQ>.

⁹ *Förbud mot små plastpartiklar i kosmetiska produkter*, Kemikalieinspektionen (Feb. 28, 2018), <https://perma.cc/BXW7-BRMH>.

¹⁰ 4 a § Förordning (1998:944) om förbud m.m. i vissa fall i samband med hantering, införsel och utförsel av kemiska produkter. (Translation by author.)

¹¹ Kemikalieinspektionen, *Mikroplast i kosmetiska produkter och andra kemiska produkter Rapport från ett regeringsuppdrag 2/18 59* (2018), *supra* note 8.

¹² EU:s kemikaliemyndighet föreslår förbud mot mikroplaster, Kemikalieinspektionen (Feb. 7, 2019), <https://perma.cc/7R2N-FLAJ>.

¹³ 9 kap.10-15 §§ Miljöbalken [MB](SFS 1998:808), <https://perma.cc/4DFV-N6R2>. See also Läkemedelsverket, *Tillverkning*, <https://perma.cc/6EP7-4X2P>.

¹⁴ 9 kap.10-15 §§ MB. See also Läkemedelsverket, *Tillverkning*, *supra* note 13.

¹⁵ Avfallsförordning (SFS 2011:927), app. 4: Waste Types – 07 06, <https://perma.cc/AMP3-6MKH>.

¹⁶ *Do You Know How to Recycle Your Cosmetic Waste? If Not, Here Is an Option for You, Make It Last*, <https://perma.cc/4SP7-NGQS>. All containers with remaining cosmetics must be deposited in a recycling station. See *Lathund för badrummet*, Kicks, <https://perma.cc/45WY-MPQL>.

II. Registration of Cosmetic Facilities

Registration of cosmetic facilities is regulated by EU law (see EU report). Under EU law, a responsible person must be appointed who is tasked with ensuring compliance with EU regulation.¹⁷ In addition, the responsible person must submit product information to the EU-wide Cosmetic Products Notification Portal.¹⁸ There are currently 605 registered cosmetic facilities (producers and importers) operating in Sweden.¹⁹ Together, they produce or import a total of 17,347 products.²⁰

III. Sanctions

EU law requires that all member states implement national rules for sanctions as well as labeling rules for products that are not prepackaged.²¹ Sweden specifies sanctions in the 29th chapter of its Environmental Code.²² The pertinent sanctions are monetary fines or imprisonment,²³ as well as a special environmental sanctions fine.²⁴

IV. Cosmetic Labeling

Sweden requires that all labels comply with EU regulation and, in addition, that any product that is sold to end-users in Sweden include labels written in Swedish.²⁵

V. Adverse Event Reporting

Sweden is bound by the EU's regulation on the reporting of adverse events.²⁶ Reporting should be made to the Medical Agency.²⁷ Although not legally required, the Agency recommends that undesired or unintentional effects that are not adverse also be reported to the agency.²⁸ Forms for reporting both adverse effects and unintended effects are published on the Medical Agency's

¹⁷ Art. 4 Regulation (EC) No 1223/2009.

¹⁸ Id. arts. 13 and 16. For more information, see EU report.

¹⁹ Läkemedelsverket, Dnr. 1.1.2-2018-095726, *Marknadskontrollplan 2019: Kosmetiska produkter* 5 (Dec. 12, 2018), <https://perma.cc/G74X-XFW5>.

²⁰ Id.

²¹ Articles 19.4 and 37 Regulation (EC) No 1223/2009.

²² 29 kap. MB. See also SOU 2007:80, *Reach – genomförande och sanktioner* [Government Report], <https://perma.cc/DV4L-RUKG>.

²³ 29 kap. 3, 5, and 9 §§ MB.

²⁴ 7 kap. 15-16 §§ Förordning (2012:259) om miljöstraffavgifter, <https://perma.cc/84JT-LHDN>.

²⁵ 4 § Förordning (2013:413) om kosmetiska produkter.

²⁶ See Regulation (EC) No 1223/2009 and the EU report.

²⁷ *Rapportering av oönskade effekter*, Läkemedelsverket (Sept. 12, 2018), <https://perma.cc/5Y36-NCD3>. The EU has published guidelines on the reporting of serious unintended effects, SUE Reporting Guidelines, EU (July 2013), <https://perma.cc/2QBD-3DKA>.

²⁸ *Rapportering av oönskade effekter*, Läkemedelsverket, *supra* note 27.

website.²⁹ No statistics on the number of adverse effects reported in 2019 are available currently on the agency's website.

VI. Swedish Cosmetic Market

Cosmetics is not a top-ten export product in Sweden.³⁰ Reportedly, Sweden imported cosmetics worth \$403.4 million in 2018.³¹ For retail sales, H&M was the highest-grossing seller of cosmetics and similar products in Sweden.³² Export numbers for cosmetic products produced in Sweden are not readily available.

²⁹ Id.

³⁰ *Sveriges Export*, SCB (Oct. 10, 2019), <https://perma.cc/GZB4-XWGS>.

³¹ Daniel Workman, *Beauty Cosmetics and Skincare Imports by Country*, World's Top Exports (Sept. 1, 2019), <https://perma.cc/86YX-PZUS>.

³² M. Ridder, *Ranking of Companies in the Cosmetics, Perfume and Hairdressing Industry in Sweden as of January 2019, by Turnover*, Statista (Nov. 7, 2019), <https://perma.cc/D6TT-LQ64>.

Turkey

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SUMMARY The Turkish regulatory framework applicable to cosmetics is largely harmonized with European Union law. The Cosmetics Regulation of 2005 is the main legislation of the Turkish cosmetics framework. The Regulation requires the registration of cosmetic products in the Product Tracking System (Ürün Takip Sistemi, or ÜTS) before they are put on the Turkish market. The information submitted to the ÜTS includes the formulation, ingredients including nanomaterials, and known undesirable effects of the cosmetic product. A safety assessment must be made and a safety report must be prepared before the product is made available. Furthermore, a “responsible technical employee” must be appointed for each cosmetic product. This person is responsible for ensuring the product’s compliance with the regulatory framework.

The Turkish Medicines and Medical Devices Agency is authorized to update the prohibited and limited substances list contained in the annexes of the Cosmetics Regulation in line with developments in EU law and the state of the art in the relevant sciences. The Agency and the ÜTS use the European Commission’s database for cosmetic substances and ingredients, and makes use of the EU’s nomenclature and numbering system.

Manufacturers of cosmetics products must notify the Agency of all foreseeable undesirable effects and serious undesirable effects that may occur from the use of the products. The manufacturer must notify the Agency when a serious undesirable effect occurs. The Agency is authorized to conduct safety reviews and in-market monitoring for all cosmetic products, and may order the prohibition, recall, or destruction of cosmetic products if it discovers that a product is unsafe for general health. The Agency must notify the European Commission if it takes precautionary measures.

Manufacturers of cosmetics must comply with good manufacturing practices (GMP). The Agency has published harmonized GMP standards.

There are no special provisions for small and medium-sized enterprises.

I. Overview

In Turkish law, rules regarding the safety, quality, and production standards applicable to cosmetic products made available on the Turkish market and their registration, labeling, monitoring, and inspection are provided in the legal framework set by Cosmetics Law No. 5324;¹

¹ Cosmetics Law No. 5324 (published & effective Mar. 30, 2005), <https://perma.cc/ZNQ6-A5AA> (in Turkish).

the Cosmetics Regulation of 2005, which is based on Law No. 5324;² and the Guidelines published by the Turkish Medicines and Medical Devices Agency. The Turkish framework is largely harmonized with the European Union regulatory framework for cosmetic products.

II. Legal Framework

A. Turkish Framework's Relationship with the EU Framework

The Cosmetics Regulation of 2005 is the main legislation of the Turkish cosmetics framework. The Cosmetics Regulation was prepared in parallel to the European Union *acquis* on the regulation of cosmetics, and in particular, with reference to Directive 76/768/EEC³ and Commission Decision 96/335/EC,⁴ with a view to harmonizing Turkish law with European Union law in the area of cosmetics.

The Turkish framework is designed to be interoperable with the EU system and to facilitate the movement of cosmetic products within the EU-Turkey customs union. The Cosmetics Regulation authorizes the Turkish Medicines and Medical Devices Agency to update the prohibited or limited substances lists provided in the Regulation in line with developments in EU law and the state of the art in the relevant sciences.⁵ Furthermore, the Turkish cosmetics registry system uses the European Commission's database for cosmetic substances and ingredients, known as CosIng, and the Agency is charged with notifying the European Commission of cases where it has taken measures against a cosmetic product made available on the Turkish market upon the discovery that it poses a health hazard to humans.⁶

In 2009, the EU framework for cosmetics was revised by the adoption of Regulation 1223/2009/EC, which replaced Directive 76/768/EEC.⁷ The Cosmetics Regulation was amended in 2015 to reflect in Turkish law the changes to the EU's regulatory framework.⁸

The Cosmetics Regulation and the framework it establishes is applicable to "cosmetic products," defined in the same terms as in article 1(1) of Directive 76/768/EEC,⁹ as

² Cosmetics Regulation, Official Gazette [O.G.] No. 25823, May 23, 2005, as amended, <https://perma.cc/P5JE-C2GW>, Annexes archived at <https://perma.cc/XLX8-7RZY> (both in Turkish).

³ Cosmetics Directive 76/768/EEC, 1976 O.J. (L 262) 1, <https://perma.cc/QP4D-99ET>, repealed effective July 11, 2013, by Cosmetics Regulation 1223/2009/EC, 2009 O.J. (L 342) 59, as amended, <https://perma.cc/FNG6-2BQC>.

⁴ Commission Decision 96/335/EC, 1996 O.J. (L 132) 1, as amended, <https://perma.cc/M826-A9NC>.

⁵ Cosmetics Regulation art. 9.

⁶ *Id.* art. 18(4).

⁷ Cosmetics Directive 76/768/EEC, *supra* note 3; Cosmetics Regulation 1223/2009/EC, *supra* note 3.

⁸ An EU Regulation is directly applicable in EU Member States once it enters into force and therefore does not need to be transposed into their national law. However, because Turkey is not an EU Member State, the Cosmetics Regulation had to be amended to transpose the changes into Turkish law.

⁹ Article 2(1)(a) of Regulation 1223/2009/EC keeps this definition with minor stylistic changes. The Turkish text is a direct translation of either definition.

any substance or mixture intended to be placed in contact with the external parts of the human body (epidermis, hair system, nails, lips and external genital organs) or with the teeth and the mucous membranes of the oral cavity with a view exclusively or mainly to cleaning them, perfuming them, changing their appearance, protecting them, keeping them in good condition or correcting body odours.¹⁰

The revisions made in 2009 introduced the concept of “responsible person” into the EU framework, which requires the appointment of a single entity responsible for ensuring compliance of a cosmetic product with the provisions of Regulation 1223/2009/EC. The responsible person concept is not entirely integrated into the Turkish framework, and consequently the Cosmetics Regulation refers to the “manufacturer” as the responsible party for many of the obligations that it creates.¹¹ Article 4(r) of the Cosmetics Regulation defines the term “manufacturer” of cosmetic products as the natural or legal person who (i) manufactures, produces, or improves a cosmetic product; (ii) presents itself as the manufacturer by way of affixing its trade name, brand name, or trademark on the product; (iii) where the manufacturer is in a foreign country, is the manufacturer’s authorized representative and/or importer; and/or (iv) is an actor located within the supply chain whose activity effects the safety of the product.

B. Notification of Cosmetic Products

The Cosmetics Regulation requires notification to the Ministry of Health before any cosmetic product is made available on the market for the first time and designates the Turkish Medicines and Medical Devices Agency as the responsible body for the administration of the notification system.¹²

1. Registration in the ÜTS

In the EU, the European Commission has set up the Cosmetic Products Notification Portal (CPNP), which is an EU-wide online notification system. Entities intending to place a cosmetics product on the EU single market may submit the necessary information to the CPNP and place the product on the European market without having to make any additional notification at the level of the individual EU Member States.¹³ Because Turkey is not an EU Member State and does not participate in the CPNP, it has set up its own national notification portal, the Product Tracking System (Ürün Takip Sistemi, or ÜTS). The ÜTS has the additional feature of incorporating a “track-and-trace” system, whereby the cosmetic product is tracked from the point of manufacture

¹⁰ Cosmetics Regulation art. 4(h); Regulation 1223/2009/EC art. 2(1)(a).

¹¹ The Turkish framework instead provides for the appointment of a “responsible technical employee,” who acts more as a compliance officer designated by the “manufacturer” as defined by the Cosmetics Regulation. Nevertheless, under Turkish law manufacturers must appoint a “responsible technical employee” in order to operate in the cosmetics industry. Cosmetics Regulation art. 13(1). See *infra*, Part II(B)(2), and note 15.

¹² Cosmetics Regulation art. 14.

¹³ For more information on the CPNP, see *CPNP - F.A.Q.*, <https://perma.cc/J9SM-9B3R>.

or importation to the final sale to the end user via the registration of each transaction involving the cosmetic product into the system by scanning the barcode on the product.¹⁴

Manufacturers wishing to place a cosmetic product on the market for the first time are required to submit to the ÜTS database the following information:

- The chemical formulation of the product including the chemical components and concentrations
- Trade name and brand name of the product
- Barcode number of the product
- Nominal volume of the product
- Description of the function of the product
- The function code of the product as listed in Annex IX of the Cosmetics Regulation
- The production facility in which the product was produced
- Information pertaining to the nanomaterials that the product contains,¹⁵ if the product contains nanomaterials other than those used as colorants, UV filters, or preservatives, which are separately regulated under article 7 of the Cosmetics Regulation
- Additional information to be notified to the National Poison Consultation Center if the product contains substances that require special responses

2. Appointment of a Responsible Technical Employee

The manufacturer or importer registering a product must appoint a “responsible technical employee” for the product and submit this person’s contact information to the ÜTS. The responsible technical employee is responsible for ensuring that the product complies with the requirements set forth in the cosmetics framework.¹⁶

¹⁴ For more information on the ÜTS, see the Cosmetic Products Bureau Application Registration and Guidance Document, <https://perma.cc/6D68-PGUF> (in Turkish).

¹⁵ This information consists of the identifiers of the nanomaterial (in accordance with IUPAC or INCI nomenclatures and INN, CAS, or EC numbering systems – the ÜTS uses the EU CosIng cosmetic substances and ingredients database), particle size, morphology, solubility, surface characteristics, and surface area catalytic activity of the nanomaterial, the quantity of the nanomaterial contained in the product, the toxicological profile of the nanomaterial, and the possible exposure conditions for the nanomaterial. Cosmetics Regulation, supplementary art. 1 & Annex XIII, parallel to Regulation 1223/2009/EC art. 16.

¹⁶ Cosmetics Regulation art. 13(1), parallel to Regulation 1223/2009/EC art. 4(1) & (2). Note that the “responsible person” concept is a novel addition to the EU framework with Regulation 1223/2009/EC, which is not entirely integrated into Turkish law. The Turkish requirements for a responsible technical employee differ from those applicable to a responsible person as provided in article 4 of Regulation 1223/2009/EC in several ways; some obligations that are placed on the responsible person under EU law, such as those regarding the communication of undesirable effects, are left to the manufacturer under Turkish law. Moreover, Turkish law requires that the responsible technical employee be a natural person, whereas under EU law the responsible person may be a legal person. Turkish law additionally requires the responsible technical employee to be a pharmacist or a chemist, biochemist, chemical engineer, biologist, or microbiologist with at

C. Safety Review and In-market Monitoring

Before placing a cosmetic product on the market, the manufacturer of the product must subject it to a safety assessment and have a safety report prepared.¹⁷ The safety report must be updated if necessary, and kept in the “product information file,” which is outlined below. The safety assessment must be conducted by a person with a pharmacology diploma, or a person who has a diploma in medicine, dentistry, biology, biochemistry, or a similar discipline and has completed a practical course in toxicology or cosmetic product safety.¹⁸ The “cosmetic product safety report” must be prepared according to the instructions provided in Annex I/B of the Cosmetics Regulation, which is identical to the instructions provided in Annex I of Regulation 1223/2009/EC.¹⁹

The Cosmetics Regulation authorizes the Agency to conduct in-market controls of cosmetic products placed on the market. Within three days of the Agency’s request, manufacturers must make available to the Agency at the address indicated on the label the product information file of any product they have placed on the market.²⁰ For each cosmetic product put on the market, the manufacturer must put together a product information file, which must be retained for ten years and include the following information:

- the qualitative and quantitative information describing the product,
- Physico-chemical and microbiological specifications of the basic materials and end product, and control criteria for the determination of compliance with said specifications,
- a description of the method of manufacturing in compliance with good manufacturing practices, a statement of such compliance, and education and employment documents indicating that the manufacturer has sufficient professional qualifications and experience,
- the cosmetic product safety report,
- available data regarding undesirable effects and serious undesirable effects to human health that may occur as a result of use of the product, and
- data on any animal testing performed relating to the development or safety assessment of the cosmetic product or its ingredients, including any animal testing performed to meet the legislative or regulatory requirements of non-EU countries.²¹

The Agency is authorized to take any measure necessary to withdraw from the market, recall, or prevent access to products where a product that complies with the framework is nevertheless

least two years of experience in the cosmetics sector. Cosmetics Regulation art. 13(2). The manufacturer itself may register as the responsible technical employee if it fulfills the criteria. Cosmetics Regulation art. 13(1).

¹⁷ Cosmetics Regulation art. 12(3)(ç).

¹⁸ Id. art. 12(3)(d).

¹⁹ For more information on the contents of the cosmetic product safety report, see the EU survey in this report.

²⁰ Cosmetics Regulation art. 12(2).

²¹ Id. art. 12(3)(a)-(g).

discovered to pose a serious risk to human health.²² If the Agency finds that a product is unsafe for public health upon conducting a safety review or in-market product control, it may order one or more of the following measures:

- prohibiting the product from being placed on the market
- recall of the product,
- partial or total destruction of the product in cases where the product cannot be rendered safe, and/or
- notification of the public regarding the safety hazard.²³

If any of these measures is taken, the Agency must notify the European Commission (via the Ministry of Economy), providing the Commission with its justifications and evidence regarding the case, and implement necessary revisions to the framework in accordance with the consultations made with the Commission.²⁴ The manufacturer is responsible for the expenses associated with the measures.²⁵

D. Communication of Adverse Effects

Under both Turkish and EU law, adverse effects of cosmetic products are referred to as either “undesirable effects” or “serious undesirable effects.”

According to article 14(4) of the Cosmetics Regulation,²⁶ manufacturers of cosmetic products must immediately communicate the following information to the Agency in the event of a serious adverse effect:

- all serious undesirable effects which are known to the manufacturer or which may reasonably be expected to be known to it;
- the name of the cosmetic product concerned, enabling its specific identification;
- the corrective measures taken by the manufacturer, if any.

The manufacturer of the cosmetic product must set up and operate a cosmetovigilance system, preparing and keeping updated cosmetovigilance procedures that it will employ to monitor and evaluate all suspicious undesirable effects that are reported to it.²⁷

²² Id. art. 18(1).

²³ Id. art. 18(2).

²⁴ Id. art. 18(4).

²⁵ Id. art. 18(2).

²⁶ Parallel to Regulation 1223/2009/EC art. 23(1).

²⁷ Turkish Medicines and Medical Devices Agency, Guidelines Concerning the Reporting to the Manufacturers of Undesirable Effects and Serious Undesirable Effects of Cosmetic Products by End Users and Medical Professionals, Version 1.0, art. 6(1)(a), <https://perma.cc/4ATV-ZWUC> (in Turkish); Turkish Medicines and Medical Devices Agency, Guidelines Concerning the Reporting to the Agency of Undesirable Effects and

E. Labeling Rules

Article 10 of the Cosmetics Regulation provides the information that must be included on the label, container, or external packaging of the cosmetic product, and the form in which this information must be placed. These requirements are fully harmonized with European Regulation 1223/2009/EC.²⁸

F. Good Manufacturing Practices

Manufacturers of cosmetic products must take the necessary measures to ensure that only products that comply with the Regulation and its annexes are made available on the market,²⁹ and must run their production operation in conformity with the Good Manufacturing Practices (GMP) Guidelines, which were issued by the Agency.³⁰ The Guidelines “[harmonize] international GMP standards”³¹ and appear to be used by the Agency in performing reviews and monitoring.³² The person designated by the manufacturer as the responsible technical employee must ensure that the cosmetic product for which he or she is registered is produced in compliance with good manufacturing practices.³³

The Turkish Standards Institution provides the TS EN ISO 22716 “Cosmetics GMP” certification based on the ISO 22716 standard. However this certification is not listed as a prerequisite for producing cosmetic products within the regulatory framework.

G. Treatment of Small and Medium-Sized Enterprises

The Turkish cosmetics framework does not have special provisions regarding obligations of small and medium-sized enterprises (SMEs).

H. Export to the United States

The Turkish cosmetics framework does not have special provisions regarding cosmetic products manufactured for the purpose of export. However, the Agency appears to follow the European Commission in technical matters. Details of EU-US technical cooperation in the field of cosmetics regulation are provided in the EU survey in this report.

Serious Undesirable Effects of Cosmetic Products, Version 1.0, art. 6(1)(a), <https://perma.cc/4S37-DYHF> (in Turkish).

²⁸ See the EU survey in this report.

²⁹ Cosmetics Regulation art. 11.

³⁰ Turkish Medicines and Medical Devices Agency, Good Manufacturing Practices Guidelines (Dec. 30, 2015), <https://perma.cc/QDU2-7WL7> (in Turkish).

³¹ News Release, Turkish Medicines and Medical Devices Agency, Notice from the Turkish Medicines and Medical Devices Agency Cosmetics Reviews Bureau Directorate (Dec. 30, 2015), <https://perma.cc/RL2S-YACP>.

³² Id.

³³ Cosmetics Regulation art. 13(2).

United Kingdom

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SUMMARY Although the United Kingdom (UK) left the European Union (EU) on January 31, 2020, it created a new body of domestic law, known as retained EU law, by transposing all EU law that applied to the UK immediately before its exit. As a result, cosmetics in the UK continue to be governed by the EU Regulation on Cosmetic Products. The UK has acted to implement additional labeling requirements for cosmetics sold without packaging to ensure that these meet the standards contained in the Regulation. It has also acted to prohibit the manufacture and supply of certain cosmetic products containing microbeads.

I. Introduction

Cosmetic products in the United Kingdom (UK) are primarily regulated by the 2009 European Union (EU) Regulation on Cosmetic Products.¹ Although the UK left the EU on January 31, 2020, the EU (Withdrawal) Act 2018 created a new type of law, known as “retained EU law” by transposing EU law that applied in the UK immediately before the day of exit into a new body of domestic law to provide legal certainty after the UK’s exit.² As a result of this law, the Regulation continues to apply in the UK in the same way as in member states of the European Union.

The Regulation provides that it is an offense to supply cosmetic products that may cause damage to human health or cosmetic products that contain restricted or prohibited substances. The term “cosmetic product” is defined in Article 2 of the Regulation as:

any substance or mixture intended to be placed in contact with the external parts of the human body (epidermis, hair system, nails, lips and external genital organs) or with the teeth and the mucous membranes of the oral cavity with a view exclusively or mainly to cleaning them, perfuming them, changing their appearance, protecting them, keeping them in good condition or correcting body odours.³

II. Registration of Cosmetic Facilities

Registration of cosmetic facilities is governed by the Regulation as part of the UK’s retained EU law. For further details, please see the EU report.

¹ Regulation (EC) No. 1223/2009, 2009 O.J. (L 342) 59, <https://perma.cc/ZB36-P5S5>. Regulation (EC) No. 1223/2009 of the European Parliament and of the Council of 30 November 2009 on cosmetic products (recast) (Text with EEA relevance), 2009 No. 1223, <https://perma.cc/7P6L-6B76>.

² EU (Withdrawal) Act 2020, c. 16, §§ 2-4, <https://perma.cc/N8P8-PKWG>.

³ Regulation (EC) No. 1223/2009, O.J. (L 342) 59, <https://perma.cc/9KE5-ZMS7>.

III. Safety Review

The required safety assessment of cosmetic products in the UK continues to be governed by the Regulation as part of the UK's retained EU law. For further details, please see the EU report.

IV. Adverse Event Reporting

The Regulation governs how adverse events involving cosmetics must be reported. The competent authority across the UK is the Secretary of State. The enforcement authorities in England, Wales, and Scotland are Trading Standards, and in Northern Ireland, the enforcement authority is any district council.⁴

V. Cosmetics Labeling

If a cosmetic product is not prepackaged or is packaged at the point of sale upon the purchaser's request, the label information required by the Regulation's article 19(1) must be placed on the container, or within the immediate proximity of the container.⁵ Cosmetic products that are prepackaged for immediate sale must also include this information, either on a label, tape, or tag attached to the package or on a card or an enclosed leaflet. In cases where there are practical reasons making it impossible to provide the information in this manner, it must be on a notice immediately next to the container where the cosmetic product is available for purchase.⁶

VI. Good Manufacturing Practices

The UK follows the manufacturing practices set out in the Regulation. In 2017, regulations were introduced in England banning the use of microplastics (also referred to as microbeads) in the manufacture of rinse-off personal care products along with the supply of such products containing microplastics.⁷ Scotland, Wales, and Northern Ireland introduced similar regulations in 2018 and 2019.⁸ A rinse-off personal care product is defined as

any substance, or mixture of substances, manufactured for the purpose of being applied to any relevant human body part in the course of any personal care treatment, by an application which entails at its completion the prompt and specific removal of the product (or any residue of the product) by washing or rinsing with water, rather than leaving it to wear off or wash off, or be absorbed or shed, in the course of time⁹

⁴ Cosmetic Products Enforcement Regulations 2013, SI 2013/1478, ¶ 4, <https://perma.cc/N3ZA-HY9X>.

⁵ Id. ¶ 5.

⁶ Id. ¶ 2.

⁷ Environmental Protection (Microbeads) (England) Regulations 2017, SI 2017/1312, <https://perma.cc/5UUY-AQMR>.

⁸ Environmental Protection (Microbeads) (Scotland) Regulations 2018, SSI 2018/162, <https://perma.cc/9QZE-A7G8>; Environmental Protection (Microbeads) (Wales) Regulations 2018, WSI 2018/760 (W. 151), <https://perma.cc/WD95-G4S9>; and Environmental Protection (Microbeads) Regulations (Northern Ireland) 2019, SR 2019/18, <https://perma.cc/Y9AV-S2W4>.

⁹ Environmental Protection (Microbeads) (England) Regulations 2017, ¶ 2.

Civil sanctions may be used for offenses that occur in England and Wales. Monetary penalties may be imposed and the amount is determined by the regulator (local authority) but may not exceed 10% of the annual turnover of the business in England,¹⁰ or 10% of the annual turnover or £20,000 (approximately US\$26,000), whichever is the lesser amount, in Wales.¹¹ In Northern Ireland and Scotland, the use of microbeads in the manufacture of rinse-off products is a criminal offense, punishable by a fine of up to £5,000 (approximately US\$6,500), up to two years' imprisonment, or both.¹² The regulator may also issue a compliance notice setting out specific steps that must be taken to ensure the offense does not continue or reoccur. The regulations apply to both small- and large-sized companies.¹³

VII. Sanctions and Enforcement

The Regulation on Cosmetic Products is enforced by the Trading Standards under the authority provided in the Cosmetic Products Enforcement Regulations 2013,¹⁴ which serves to “create enforcement powers, offences and penalties within the United Kingdom, in relation to the EU Regulation.”¹⁵ The UK has provided additional protections in certain areas, including increasing the maximum fine from £5,000 (approximately US\$6,500) to £20,000 (approximately US\$26,000) for certain offenses and doubling the maximum term of imprisonment for serious offenses to 12 months to provide consistency with the same penalty levels contained in the UK's General Product Safety Regulations,¹⁶ which cover other consumer goods.¹⁷

¹⁰ Environmental Protection (Microbeads) (England) Regulations 2017, Sched. ¶ 1.(4).

¹¹ Environmental Protection (Microbeads) (Wales) Regulations 2018, Sched. ¶ 1.(5).

¹² Environmental Protection (Microbeads) Regulations (Northern Ireland) 2019, ¶ 3, (a level five fine on the standard scale equals £5,000, <https://perma.cc/4647-ME5W>), and the Environmental Protection (Microbeads) (Scotland) Regulations 2018, ¶ 3.

¹³ Environmental Protection (Microbeads) (England) Regulations 2017, Sched. 1. For further analysis of the impact of the regulation on small- and medium-sized businesses, see Dep't for Env't, Food & Rural Aff., *Implementation of the Environmental Protection (Microbeads) (England) Regulations 2017: Impact Assessment*, Defra 2083 (July 25, 2017) at 6, <https://perma.cc/VY4L-6K4A>.

¹⁴ Cosmetic Products Enforcement Regulations 2013, SI 2013/1478, as amended by the Product Safety and Metrology etc. (Amendment etc.) (EU Exit) Regulations 2019, SI 2019/696, <https://perma.cc/683S-Q2SJ>.

¹⁵ Explanatory Memorandum to the Cosmetic Products Enforcement Regulations 2013, SI 2013/1478, ¶ 7.2, <https://perma.cc/QJ4S-YQN9>.

¹⁶ General Product Safety Regulations 2005, SI 2005/1803, <https://perma.cc/RP35-6RZR>.

¹⁷ Explanatory Memorandum to the Cosmetic Products Enforcement Regulations 2013, *supra* note 15, ¶ 7.5.

VIII. Cosmetics Exports into the U.S.

Statistics indicate the UK is among the leading countries for exports of cosmetics into the United States.¹⁸

¹⁸ See, e.g., *List of Supplying Markets for a Product Imported by United States of America, Product: 3304 Beauty or Make-Up Preparations and Preparations for the Care of the Skin [etc.]*, Trade Map – International Trade Statistics, International Trade Centre, <https://perma.cc/H8M9-QNBA> (showing the UK as the sixth largest country of exports to the US for such products in 2018 and 2019).